

IM-1 and IPHR NOTES (COMPLETE)

Prof. Rama Iyer

Subject codes: HUT1108 and HUT1109

Prepared by:

Avinash Suresh Nayak

16CHE121

TABLE OF CONTENTS

Sr. No.	Title	Page No.
Industrial Management-1 (HUT1108)		
1	Globalization	1
2	Personality	3
3	Motivation	7
4	Management theories	14
5	Marketing: Traditional 4Ps	20
6	Porter's 5 forces	22
7	Market types	26
8	Entities that can be marketed	27
9	13 HR Laws	28
10	Porter's value chain	31
11	STP (Segmenting, targeting and positioning)	33
Industrial Psychology and Human Resource Management (HUT1109)		
1	Greiner's model	37
2	Organizational structures	40
3	Role theory	41
4	Recruitment and selection	42
5	Gig economy	45
6	Motivation	47
7	Change theories	54
8	Bases of power	58
9	Conflict, conflict management styles and Pearl's model	60

DISCLAIMER

This document is a collection of typed lecture notes. These notes are not exhaustive. Moreover, it is greatly suggested that the user of this document does not depend solely on this reference. Since, many concepts are covered in this document, only putting the basic idea behind the concepts shall be the primary focus of this document. As a result, the document has been prepared by referring to various sources. Interested readers may check those sources. This document is based on the lecture notes taken during the lectures of Prof. Rama Iyer during the academic year 2019-2020. Any changes in the teaching style or the syllabus have not been included in this section.

Due to the COVID-19 outbreak, at some places throughout India, lockdowns are observed. Social distancing is being followed. In such cases, it is advisable to go out of your home only when you deem it necessary. As a result, it is advised that you do not print this document, as all lecture notes in various subjects this year, after the lockdown, have been delivered on electronic mode solely and it is convenient to view those documents in electronic mode. Moreover, printing this document may generate footprint, so as chemical engineers, we'll have to keep that in mind.

INDUSTRIAL MANAGEMENT-1
HUT1108

1. GLOBALIZATION

Globalization is a term used to describe how trade and technology have transformed the world into a more connected and interdependent place. It is the process of interaction and integration among people, companies and governments worldwide. In this chapter, let us talk about the changes that were brought about by globalization on India's economy.

India gained independence in 1947 from roughly 3 centuries of *British raj*. However, post-independence, the British that had continually been extracting resources (the British East India company and the British colonial government were responsible), they returned to England taking away all (or almost all) resources from India and not letting Indians benefit of their own resources. Thus, post decolonialization, there was no basis for an economy to exist. Due to these circumstances, India had to foster its economy into being. There was also a very high rate of unemployment in India post-independence. Thus, a decision was made to have a planned economy where all aspects of the economy would be controlled by the government. Other than agriculture, there were no jobs that were available. Infrastructure was virtually non-existent and the government coffers were empty, so there was no question of undertaking large scale infrastructure projects too.

The *Licence raj* that was set up post-independence was an elaborate system of licences and regulations and other loops that one had to jump through in order to set up a business in India. It was established based on a trade policy that was advocating on replacing foreign imports with domestic production, with an aim to spur up the local production by reducing foreign and private competition. However, many Indians at that point of time were unemployed. Unemployment meant that they had no source of income. As a result, they could not purchase any goods. This was a problem even for the economy to handle.

That's not all. With License Raj in place, for any private business to be set up, one needed the approval of numerous (sometimes as many as 80!) governmental agencies which consumed a lot and resources and time and hence discouraged a lot of people from even trying. Even if someone successfully got the approval of all the required agencies, the quantities of goods produced, the capital used and their sale prices would be regulated by the government, hence leading to huge inefficiencies for the manufacturer. Moreover, once set up, the government could also prevent firms from laying off workers or closing factories. Sale of foreign manufactured goods was also restricted with the help of absurdly high import tariffs and requirement of licenses to sell products in the Indian subcontinent.

In short, the following were the features of this sort of economy:

1. Licences were required for starting new companies, for producing new products or for expanding production capacities.

Globalization

2. Businesses had to have government approval for laying off workers, and for shutting down (entry and exit barriers).
3. Virtually shut off imports with high tariffs, low import quotas and outright import of banning of certain products.
4. In 1985, India had the highest levels of tariffs in the world.

Thus, the economy that was expected to improve the quality of local production in the country was found to be doing exactly the opposite of the expected in the long run. As a result, there was a need to reform the economy. In June 1991, the first wave of globalization and liberalization were started. The tariff rates were slashed, more foreign direct investment (FDI) was invited and import quotas were demolished. Further reforms introduced were reduction in import tariff, convertibility on the current account transactions, freer availability of foreign reserves, and increased zest for inviting foreign direct investment.

The transformation post-liberalisation can be classified into four phases. In the first phase, between 1991 and 2000, manufacturing exploded with the entry of multinational companies. Some of them brought their suppliers with them. Indian companies, for their part, embraced quality and modern manufacturing practices to become competitive. The second phase (2000-2008) saw Indian players — having fixed their shortcomings and fended off competition: expanding in a big way. The global financial crisis and its ripple effect in India ended phase-II and triggered the next phase (2009-15) — one of consolidation. Indian companies cut costs and de-leveraged their balance sheets. The phase-IV, in play now, is one of digital transformation. How companies use digital tools in manufacturing as well as other aspects of business will determine who the winner or loser is.

This is the impact of globalization and liberalization on the Indian economy.

2. PERSONALITY

Personality is defined as the characteristic sets of behaviours, cognitions, and emotional patterns that evolve from biological and environmental factors. The response of a person to a particular situation often reveals their personality. Some personality theories that explain the behaviour of individuals in certain situations have been put forth here.

2.1 Sigmund Freud's psychoanalytical theory of personality:

Sigmund Freud developed the psychoanalytical theory of personality development, which states that the personality is formed through conflicts among three fundamental structures of the human mind: The id, the ego and the superego. An elaboration of these three structures is put forth.

The id is the aspect of our personality that is driven by internal and basic drives and needs. These are typically instinctual, such as hunger, thirst, and the drive for sex, or libido. The Id is also the unconscious and stems from our instinctive abilities. The id acts in accordance with the pleasure principle, in that it avoids pain and seeks pleasure. Due to the instinctual quality of the id, it is impulsive and often unaware of implications of actions.

Often, immediately fulfilling the needs of the id is not always realistic, or, sometimes, even impossible. If we were completely governed by the pleasure principle, we would often grab things that we want, out of other people's hands to satisfy our own cravings. This behaviour would be both disruptive and socially unacceptable. According to Freud, the id tries to resolve the tension created by the pleasure principle through the use of primary process thinking, which involves forming a mental image of the desired object as a way of satisfying the need.

The ego, according to Freud, develops from the id and ensures that the impulses from the id can be expressed in a manner acceptable in the real world. It is the component of the personality that is responsible for dealing with reality. Thus, ego strives to satisfy the needs of the id in realistic and socially acceptable ways. The ego weighs, according to the reality principles, the costs and benefits of an action before deciding to act upon or abandon the impulses.

The ego acts as a mediator between the id and the superego, which will be described shortly ahead. If the ego fails in its attempts to use the reality principle to act upon or abandon the impulses, and anxiety is experienced, unconscious defence mechanisms are employed to help ward off unpleasant feelings or make good things feel better for the individual.

The superego is driven by the morality principle. It acts in connection with the morality of higher thought and action. Instead of instinctively acting like the id, the superego works to act in socially acceptable ways. It employs morality, judging our sense of wrong and right and using guilt to encourage socially acceptable behaviour. Furthermore, the superego comes from

the people around us. They affect what we believe in and how we view things, so this can be different depending on how you were raised and the culture you were around. The superego has two parts:

1. The conscience includes information about things that are viewed as bad by parents and society. These behaviours are often forbidden and lead to bad consequences, punishments, or feelings of guilt and remorse.
2. The ego ideal that includes the rules and standards and behaviours that the ego aspires to.

The superego tries to perfect and civilize our behaviour. It works to suppress all unacceptable urges of the id and struggles to make the ego act upon idealistic standards rather than upon realistic principles. For normal people, these three aspects are more or less balanced.

For a person with a dominant id, they will be guided by pleasure principle and will be sometimes taking actions that are not acceptable for the society. For a person with dominant superego, the moral instinct would be so strong that they might fall prey to perfection instincts, or might indulge in procrastination.

2.2 Ego defence mechanisms:

Previously, ego defence mechanisms were discussed that would be developed to protect a person from anxiety arising from unacceptable thoughts or feelings. The ego defence mechanisms are listed below:

- 1. Repression:** Repression is an unconscious mechanism employed by the ego to keep disturbing or threatening thoughts from becoming conscious.
- 2. Projection:** Some thoughts or feelings you have about another person may make you uncomfortable. If we project those feelings, we're misattributing them to the other person. Example, we may dislike our new co-worker, but instead of accepting that, we choose to tell ourselves that they dislike us. As a result, we see in their actions the things we wish we could do or say.
- 3. Displacement:** You direct strong emotions and frustrations toward a person or object that doesn't feel threatening. This allows you to satisfy an impulse to react, but you don't risk significant consequences. Example, getting angry at home because of having a bad day at work. No one at home is the target of your strong emotions, but reacting to them is likely less problematic than reacting to your boss.
- 4. Sublimation:** In this defence mechanism, people choose to redirect their strong emotions or feelings into an object or activity that is appropriate and safe. Example,

instead of lashing out at your co-workers, we can choose to channel our frustration into kickboxing or exercise.

5. **Denial:** It is one of the most common defence mechanisms, where we refuse to accept the reality or facts. We block external events or circumstances from our mind so that we don't have to deal with the emotional impact.
6. **Regression:** Some people who feel anxious or threatened wish to unconsciously escape to an earlier stage of development. This may lead to avoidance of everyday activities because of feeling too overwhelmed.
7. **Rationalization:** In regression, we may attempt to explain undesirable behaviours with our own set of facts. This allows us to feel comfortable with the choice we made, even though, we know on another level that it's not right. Such behaviour is also called "making excuses for your ill performance."

2.3 Hofstede's cultural dimension:

The Hofstede's cultural dimensions theory of personality is a framework for cross-cultural communication. It shows the effects of a society's culture on the values of its members and how these values relate to behaviour. In short, it says that different personality traits emerge because of different up-bringing of different individuals. There are four main cultural dimensions proposed by Hofstede in this theory:

1. **Power distance:** Power distance is defined as the extent to which a society accepts power differentials. If the power distance is large, i.e., there is a marked difference between superiors and inferiors, such cultures have centralized leadership, many levels of hierarchy in leadership and also there is an expectation of power differences and inequality.
On the other hand, smaller power distances lead to participative or consultative styles of management, lack of acceptance and questioning of authority and an incline towards an egalitarian society.
2. **Uncertainty avoidance:** This is defined as the extent to which the members belonging to a society are capable of coping with future uncertainty without going through stress. The following are the features of a society that has weaker uncertainty avoidance: No clear demarcation of differing opinions and behaviours, greater flexibility and undertaking more risks.
On the other hand, a society with stronger uncertainty avoidance has the following features: Avoiding risk, many rules, standards, procedures to avoid different behaviour, respect for authority and not much flexibility.

- 3. Individualism vs. Collectivism:** Collectivism is defined as the extent to which individuals are inclined towards remaining in groups, whereas individualism is the exact opposite of collectivism. Individualistic societies are often independent and pay more emphasis to making own decisions in various fields. Such societies do not stick to some social duties and norms.

On the other hand, collectivist societies are characterized by sharing of resources and happiness within the members of the group and sacrificing personal interests to fulfil the collective interest of the group, increased inclination towards conformity and harmony and hierarchy within the group.

- 4. Masculinity vs. Femininity:** Masculinity and femininity revolve around the emotional role distribution between genders. Masculine cultures possess the following characteristics: distinct gender roles, little significance of kind-heartedness, more emphasis on material achievements and more value associated with mastery of people, nature, job and the like.

On the other hand, feminine cultures possess the following characteristics: overlapping of social gender roles, people expected to be tender and modest with focus on the quality of life and emphasis on the non-materialistic angles of success.

The corporate world measures the following five traits in an individual and decides the job (or post) the person would be the best suitable for. These traits are also known as the **Big 5** traits. These traits are:

1. Openness to experience
2. Conscientiousness
3. Extraversion
4. Agreeableness
5. Neuroticism

A report like AMCAT employability report can explain the job fit for the individual based on these five traits. For details, refer to AMCAT report. (P. S.: Explaining these 5 traits is not the scope of this material.)

3. MOTIVATION

Motivation is based on organizational and personal domain. Motivation forms a basis for behaviour of an individual. Motivation is a process, where a psychological or physiological **deficiency** or **need** that activates a **behaviour** or **drive** that is aimed at a **goal** or **objective**. The definitions of need, drive and goal are as follows:

1. **Need:** Needs are created when there is a physiological or psychological imbalance or deficiency. For example, a need exists when the cells in the body are deprived of food and water or when the person is deprived of other people who serve as his/her companions or friends.
2. **Drive:** Drives are set up to alleviate the needs. Another definition for drive is that drive is a deficiency with a definite direction.
3. **Goal:** A goal or an objective is defined as the means used by a particular drive to satisfy the need.

A hypothetical example to clarify this concept is: Mr. Rohan Khandelwal is a health-conscious person. He starts doing exercise daily in the gymnasium in his locality and in order to aid the growth of his muscles, he should add protein-rich food to his diet. So, in this example, the protein-rich food in the diet is his need. The drive in this case is that he can satisfy this need by incorporating more pulses or foodstuffs like paneer, eggs, fish, etc. in his diet. The goal that he can set for himself, is that, as sources like chicken, meat, eggs carry more meat, that he'll include daily two meals of chicken/eggs/meat in his diet. (P. S.: I don't know much about what people going to gyms to exercise have in their diet, but, this is just put as an example.)

3.1 Classification of drives:

A drive is set up to reduce the need. The way in which the need is met (or reduced) can be differing from individual to individual. For basic physiological requirements like hunger and thirst, the drive that is set up is actually a consequence of evolutionary basis for humans. So, this is learnt by the child right at its birth, and needs no further learning, as this is a basic need for survival. Such drives that satisfy basic needs for survival are classified as primary drives.

However, not all drives will be physiological in nature. Some needs may be higher in nature. Like for example, a job package in chemical industry will require Mr. Avinash Nayak to have a particular skill-set, which needs to be learnt and mastered thoroughly for a smooth performance in the industry. These needs are met only by the drives that are taught, not just in college, but also in the real life. For example, a game of chess teaches you to focus mainly on the safety of your king and threatening the safety of your opponent's king as the primary goal. (Again, there are various techniques to do this, which needs to be learnt by, say solving many

puzzles, playing multiple number of online games and/or tournaments whenever feasible, revision of concepts like development, piece play, pawn structure, etc., elaborating which is not the scope of this material.) Thus, these drives are inculcated in an individual by deep learning. These drives are secondary drives.

There are three types of needs that secondary drives will help in fulfilling:

3.1.1 Need for power:

Need for power is characterized by:

- Influencing people to change their attitudes/behaviour.
- Controlling people and activities.
- Being in a position of authority over others.
- Gaining control over information and resources.
- Defeating an opponent or enemy.

3.1.2 Need for achievement:

Need for achievement is characterized by:

- Doing better than (fellow) competitors.
- Attaining or surpassing a difficult goal.
- Solving a complex problem.
- Carrying out a challenging assignment successfully.
- Optimizing a process, by doing it in a better way.

3.1.3 Need for affiliation:

Need for affiliation is characterized by:

- Being liked by many people.
- Being accepted as a part of a group or a team.
- Working with people who are friendly and co-operative.
- Maintaining harmonious relationships and avoiding conflicts.
- Participating in pleasant social activities.

3.1.4 General drives:

These drives act as a gradient between primary and secondary drives, and may also be unlearned in nature. No further elaboration on this topic has been provided here.

3.2 Motivation theories:

In this section, seven theories on motivation have been discussed. These are the Maslow's hierarchy of needs, Herzberg's two-factor theory, Adam's equity theory, Alderfer's existential-relatedness-growth theory (three-factor theory), Nitin Nohria's four-drive theory, V. I. E.

theory and Hackman-Oldham model. Each of these theories will be discussed in detail in this section.

3.2.1 Maslow's need hierarchy:

Maslow's need hierarchy is an application-oriented theory in marketing. This hierarchy was prepared by looking at the people in general, and it was concluded that people have a *hierarchy of needs*, and the most important needs are at the *apex* of the hierarchy. It also states that the higher order needs can be fulfilled, only when the lower order, basic needs have been fulfilled. The Maslow's need hierarchy has been pictorially presented below:

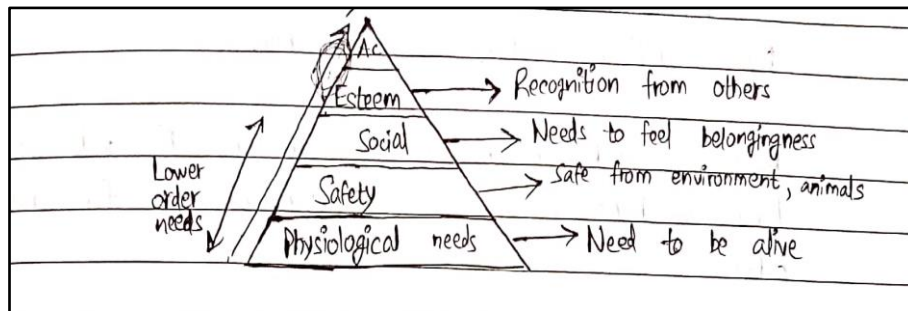


Figure 3.1: Maslow's need hierarchy

The physiological needs in an organization are met by an appropriate payroll for the job. In an organization, the safety needs are met by an appointment letter, insurance and a secure job. The social needs are met by working in right teams, right subordinates and on the right projects. Of course, these are subjective in nature. The esteem needs are fulfilled by enhanced job titles, higher difficulty level projects, sabbaticals (in case of professors in a college), foreign trips and paid vacations. Finally, if the organization allows me the freedom to do what Avinash Nayak really wants to pursue in his career, then the organization fulfils his self-actualization need. For example, Technip FMC allows him to be a joint director with Reliance.

At the workplace, my behaviour is being observed by my superiors. They basically look at what drives do I possess while on the field. Based on which, I can be promoted up the organization ladder. Also, during interviews organized, they check for what needs am I wanting to get the job in that organization.

Also, *advertisements of various products* are prepared majorly based on Maslow's need hierarchy. By looking at that particular advertisement, it is easily understood what need the product shown in the advertisement wants to satisfy.

3.2.2 Herzberg's two-factor theory:

Herzberg's two-factor theory studied a group of 1,25,000 people at random and asked the following questions:

- What is it that boosts your spirit on the job?

Motivation

Answer: All about the job per se. Basically, the content of the job, like higher payroll, challenging projects, proper use of the skillsets I have.

- What is it that turns you off on the job?

Answer: Context of the job. Basically, if my superiors do not listen to my needs, or even if I'm a part of a team, I feel apart from the team, based on my skillsets, etc.

Every individual in an organization has a particular KASH, i.e., knowledge, abilities, skills and habits. If this KASH is the right fit for the job, then the individual stays motivated while on the job. There are two types of factors present in the workplace, according to Herzberg's two-factor theory, motivators and hygiene factors.

The motivating factors are those factors that boost the spirit of Avinash Nayak while on the job, making him more enthusiastic about the job, and in some extreme cases, really stuck with his job identity. Examples are, challenging projects, high job titles, foreign trips, autonomy on job, etc.

The hygiene factors are those factors that, though they do not demotivate Avinash Nayak while on the job, but, they bring down his motivation to zero. Examples are, peers, supervisors, pay (at higher levels).

3.2.3 Adam's equity theory:

Adam's equity theory is based on the perception of how an employee is being treated in an organization. In the corporate world, every individual has their own inputs to the organization business (individual KASH) and the output given by the organization is in terms of pay, perks, facilities, freedom to pursue what you really want to pursue, etc.

An individual takes clues from the environment based on his perception towards work, perception towards (fellow) employees, perception about his superiors, etc. This forms a basis for the motivation of the person at work. If the individual finds, by comparison, that despite his inputs, organization is giving him/her less output in the form of either pay, perks, facilities, or allowances like maternal leave, or a freedom to work also as a visiting faculty for some other institute, etc., that individual feels demotivated.

The individual compares the ratio of Output ($O_{Ind.}$) to input ($I_{Ind.}$) in the individual's case to that of the other employees ($O_{Oth.}/I_{Oth.}$). If $\frac{O_{Ind.}}{I_{Ind.}} < \frac{O_{Oth.}}{I_{Oth.}}$, then the individual feels demotivated and is said to be treated inequity under-rewarded. In that case, the individual builds a picture, slowly, that the organization is behaving unfairly towards that individual. The ratio on the individual's side can be manipulated by either increasing the numerator (This is done by the organization, as in terms of more facilities, more freedom, etc.); or, by decreasing the denominator (Done by the individual).

On the other hand, the employees who see that the individual is getting less than what they expected believe that they are being treated inequity over-rewarded.

However, for any organization, when they start knowing that the employees are starting to feel less motivated, they try to fill this gap in expectations by honest recruitment, better training, more performance appraisals and retention of their employees.

3.2.4 Alderfer's three-factor (ERG) theory:

Alderfer's three-factor theory, or existential-relatedness-growth theory talks about the job as per the motivation in the job and the needs of the individual. It states, that every need can be classified as an *existential need*, a *relatedness need* and a *growth need*. Each of these needs are coexisting. It is based on both the Maslow's need hierarchy and Herzberg's two-factor theory. The figure below pictorially depicts how ERG is simultaneously related to the two theories.

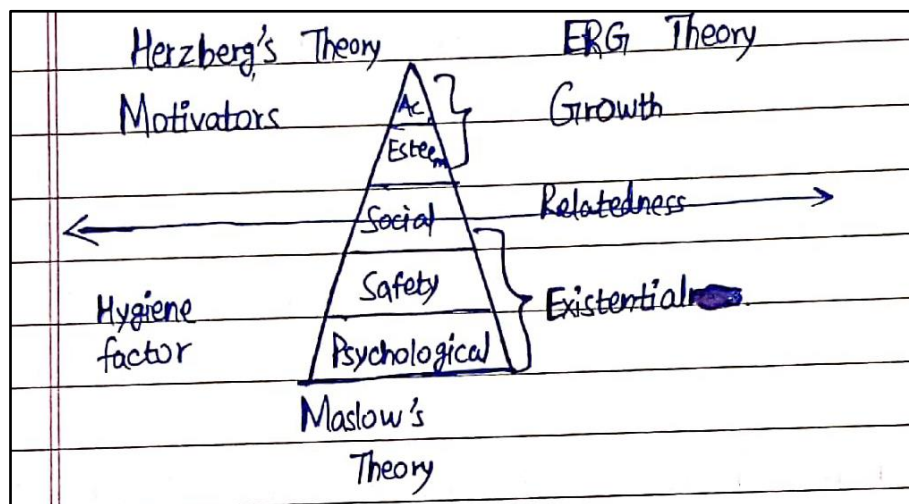


Figure 3.2: ERG theory

3.2.5 Nitin Nohria's four-drive theory:

Four-drive theory of motivation was put forth by Nitin Nohria. This theory states that there are four drives that the organizations should leverage, so that the employee feels that the organization is providing the employee appropriate drives so that his/her needs are fulfilled. The four drives are as follows:

3.2.5.1 Drive to acquire:

The drive to acquire tends to be relative (we always compare what we have with what others possess) and insatiable (we always want more). In an organization, the drive to acquire is leveraged by the organization by providing chances for the employees to achieve significant progress in their career, by providing good projects. The organization aims to conduct regular performance appraisals in order to motivate the employees to perform their best. Also, a higher pay may be given if the performance is that great.

3.2.5.2 Drive to bond:

Individuals have survived in groups since long, as a major survival need. In the organization, the employee's drive to bond accounts for the enormous boost in motivation when employees feel proud of belonging to the organization and for their loss of morale when the institution betrays them. The organization should develop a culture, wherein, mutual reliance and friendship among co-workers, sharing of best industry practices and teamwork and collaboration are viewed as more valuable. Thus, the organization leverages the drive to bond.

3.2.5.3 Drive to comprehend:

Employees are motivated by jobs that challenge them and enable them to grow and learn, and they are demoralized by those that seem to be monotonous or to lead to a dead end. The organization can leverage this drive by designing jobs that have distinct and important roles in an organization. Also, by designing jobs that are meaningful and can foster a sense of contribution to the organization, this drive is leveraged.

3.2.5.4 Drive to defend:

The drive to defend tells us a lot about people's resistance to change. It's one reason employees can be devastated by the prospect of a merger or acquisition, an especially significant change, even if the deal represents the only hope for an organization's survival. The organization leverages this drive by:

- Increasing the transparency of all the processes.
- Emphasize on the fairness of all the processes.
- Build trust by being just and transparent in granting rewards, assignments and other forms of recognition.

3.2.6 V. I. E. theory:

The V. I. E. theory is short for valence, instrumental and efforts. It states that motivation is a product of three variables, V, I and E. It also states that whatever efforts, E is put by you in the organization is instrumental, I in giving you the rewards that are of positive valence, V for you. Of course, the valence V can be chosen by the perception of the individual towards the organization.

3.2.7 Hackman-Oldham model:

Hackman-Oldham model for motivation treats the task itself to be a motivating factor for the employee. It states that, there are specific factors in the job itself, that innately motivate the employee or they don't motivate the employee. Then, the motivation of the employee is a function of job characteristics, psychological states and outcomes for the employee. The

following table gives the list of **core job characteristics**, which, if present, lead to **critical psychological states** and these psychological stages, when experienced, lead to **outcomes**. These outcomes lead to motivation.

Table 3.1: Motivation table for individuals

Core job characteristics	Psychological states explained	Outcomes
Skill variety	Experiences meaningfulness of work	High internal work motivation
Task identity		
Task significance		
Autonomy	Experiences responsibilities for work outcomes	High quality performance
Feedback from job completion	Knowing the actual results of work activities	High satisfaction with work

The terminologies mentioned in the table have been explained here:

1. **Skill variety** refers to the number of skills that can be used during work by the employee. If a job demands use of too many skills, there may need to be many switchovers for various skills. So, this might be demotivating. On the other hand, if too low number of skillsets are necessary, the job might become mundane. Even that becomes demotivating.
2. **Task identity** refers to the fact, that the person who does the job holds the complete responsibility for the job. On the other hand, **task significance** refers to the feeling within the employee that the task he/she does has definite positives, and that it also has positive visible impact on the organization.
3. **Autonomy** is whether the individual is granted freedom or statutory powers in his job to decide how well should that be done. **Feedback from job completion** is given by performance appraisals.

Thus, motivation can be mathematically stated according to this theory as:

$$\text{Motivation} = \frac{(\text{Skill variety} + \text{Task identity} + \text{Task significance})}{3} \times \text{Autonomy} \times \text{Feedback} \dots\dots (1)$$

4. MANAGEMENT THEORIES

In this chapter, three theories on industrial management have been discussed: Taylor's theory of scientific management, Fayol's administrative management theory and Mayo's behavioural theory of management (also known as the Hawthorne effect). All these theories have been mentioned in a chronological order. An elaboration of the theories follows:

4.1 Taylor's mechanical theory:

This theory proposes that by optimizing and simplifying jobs, the productivity would increase.

During those days, humans were the major inputs at the workplace and their physical strength was what was useful. Thus, much of the work was labour-oriented. For a particular output, the efficiency (ratio of output to input) was low. Taylor was interested in improving this ratio. As a result, time and motion studies, i.e., for every brick a labourer picks, movements of the labourers and time were studied and the job optimization was attempted. The work was later standardized in order that it could be applicable for everyone, and a differential wage was provided if the SOP was followed.

The following are the criticisms of this theory of management:

1. Labourers may not be having co-operative relationships with their superiors.
2. A part of the society got left behind due to this.
3. Normal work involves in-between gossip, drinking water and mild leisure. This theory did not account for any of that.
4. Due to no quality checks in place, labour was exploited.

The assembly line at any production place follows Taylor's management theory.

4.2 Fayol's theory of management:

Fayol's theory of management serves as a guideline for decision-making and management actions. They are drawn up by means of observations and analyses of events that managers encounter in practice. Fayol put forth 14 principles of management, which have been elaborated below:

4.2.1 Division of labour:

In practice, employees are specialized in different areas and they have different skills. Fayol suggests that one task should be broken into various sub-tasks and only those people who are specialized in each sub-task are chosen. This way, the efficiency stays high.

4.2.2 Authority and responsibility:

In order to get things done in an organization, management has the authority to give orders to the employees. Of course, with this authority comes responsibility. According to Henri

Fayol, the accompanying power or authority gives the management the right to give orders to the subordinates. The responsibility can be traced back from performance and it is therefore necessary to make agreements about this. In other words, authority and responsibility go together and they are two sides of the same coin.

4.2.3 Discipline:

Discipline is often a part of the core values of a mission statement and vision in the form of good conduct and respectful interactions. This management principle is essential and is seen as the oil to make the engine of an organization run smoothly.

4.2.4 Unity of command:

The principle 'Unity of command' means that an individual employee should receive orders from one manager and that the employee is answerable to that manager. If tasks and related responsibilities are given to the employee by more than one manager, this may lead to confusion which may lead to possible conflicts for employees. By using this principle, the responsibility for mistakes can be established more easily.

4.2.5 Unity of direction:

All employees deliver the same activities that can be linked to the same objectives. All activities must be carried out by one group that forms a team. These activities must be described in a plan of action. The manager is ultimately responsible for this plan and he monitors the progress of the defined and planned activities.

4.2.6 Subordination of individual interest:

In order to have an organization function well, Henri Fayol indicated that personal interests are subordinate to the interests of the organization (ethics). The primary focus is on the organizational objectives and not on those of the individual. This applies to all levels of the entire organization, including the managers.

4.2.7 Remuneration:

Motivation and productivity are close to one another as far as the smooth running of an organization is concerned. This management principle argues that the remuneration should be sufficient to keep employees motivated and productive. There are two types of remuneration namely non-monetary (a compliment, more responsibilities, credits) and monetary (compensation, bonus or other financial compensation). Ultimately, it is about rewarding the efforts that have been made.

4.2.8 Centralization:

Centralization implies the concentration of decision making authority at the top management (executive board). This way, the advantages are that there is always a clear chain

of command, a focused vision, reduced costs, quick implementation of all the business decisions and an improved quality of work. On the other hand, the drawbacks are that leadership styles become more bureaucratic, there are delays in work and employee loyalty is in question. Thus, the top authorities are expected to keep a good balance of centralization and decentralization in the organization.

4.2.9 Hierarchy:

Hierarchy presents itself in any given organization. This varies from senior management to the lowest levels in the organization. Hierarchy principle states that there should be a clear distinction in the area of authority. This can be seen as a type of management structure. It states that directions go downwards, but accountability goes upwards.

4.2.10 Order:

In any organization, for smooth running of day-to-day activities, there has to be a particular scheme of order. Each and every thing in the organization has a specific place and must be placed in the respective place. This allows for the objects to not be misplaced and can be found easily whenever needed.

4.2.11 Equity:

Equity is often one of the core values of any organization. Equity provides an apparent measure of fairness in the way each function and activity in an organization occurs. For this to occur, employees must be treated kindly and equally. Employees must be in the right place in the organization to do things right. Managers should supervise and monitor this process and they should treat employees fairly and impartially.

4.2.12 Stability of tenure of personnel:

Any organization will have a stable staff, when authority, discipline, remuneration and equity principles are being followed effectively. Why this is important is, when a significant percentage of workforce or management team quits their job frequently, new personnel must be hired. Also, significant funding on their training should be considered. They need to become accustomed to the policies, procedures and culture of the organization. Their initial productivity, effectiveness, and efficiency will probably be substantially less than the employees they replaced. This costs the organization time and money that is best expended elsewhere.

4.2.13 Initiative:

According to this principle, employees should be allowed to express new ideas. This encourages interest and involvement and creates added value for the company. Employee

initiatives are a source of strength for the organization. This encourages the employees to be involved and interested.

4.2.14 Esprit de Corps:

This principle states that the organization should be striving for the involvement and unity among their employees and focus on team spirit to run effectively. It contributes to the development of culture and creates an atmosphere of mutual trust and understanding.

4.3 Mayo's behavioural theory of management:

The theory of management put forth by Elton Mayo is known as Mayo's humane management theory or Mayo's behavioural theory of management. It was near the time the WW-2 would occur, that Mayo and his group experimented. They carried out four experiments, the result of which changed the way many managers thought about motivation, job productivity, and employee satisfaction. As there was depression worldwide and the production took a hit, these experiments could not be generalized. The experiments carried were:

4.3.1 Illumination experiment:

The set of illumination experiments were carried out with a hypothesis, that productivity is directly proportional to illumination.

For this experiment, 50 workers from assembly line at random were removed and the conditions for the experiment were duplicated in the test rooms. The workers chosen were told, why they were being selected among the others. There was ample supervision to note the productivity. In the lightning room, the lightning illumination was altered and experiments were run. The engineers then expected that brighter light would lead to an increase in productivity. However, to their surprise, even at low illumination, the productivity was increased. At moonlight illumination, productivity was the same as the standard set productivity.

Thus, it was proved that this hypothesis was incorrect.

4.3.2 Relay assembly test room:

Relay assembly test room experiments were designed to determine the effect of changes in various job conditions on group productivity as the illumination experiments could not establish relationship between intensity of illumination and production. For this purpose, the researchers set up a relay assembly test room, and two girls were chosen. In this set of experiments, these girls were asked to choose for more girls as co-workers. The work related to the assembly of telephone relays. Numerous changes in the work environment were introduced, and each change lasted for up to twelve weeks.

The productivity of the ladies was monitored. It was found that initially, the productivity rose, but, later, as they got accustomed to the conditions, it again fell down. However, with every change in conditions, the productivity increased. This led to the conclusion, that the productivity is changing, probably because of the girls' attitudes towards work and their work group. They developed a feeling of stability and a sense of belongings. Since there was more freedom of work, they developed a sense of responsibility and self-discipline. The relationship between supervisor and workers became close and friendly.

4.3.3 Interviews:

After the second set of experiments on work conditions was concluded, the next set of experiments used interviewing of workers. In here, experimenters interviewed 500 to 700 workers at random and the workers were asked closed-ended questions (Questions that have either a yes or a no as the answers are closed-ended in nature). During the interviews, it was found that the workers spoke more of their personal situation, their desires, interests, etc. and not much talking about the work conditions like lightning, leisure, etc. was being discussed.

As a result, further experimentation was carried out.

4.3.4 Bank wiring rooms:

The work involved attaching wire with switches for certain equipment used in telephone exchanges. In this experiment, a group of 12-14 male workers were formed into a small work group. Conditions just as in the previous experiments were used for testing productivity. The output of the work group was monitored. It was found that, initially, the productivity rose to as much as 30 boards per day. However, after 12 days, it was seen to drop to 12 boards per day.

4.3.5 Findings of the experiments and inferences:

Also, add to the fact, that when the experiments were being carried out, worldwide depression existed. As a result, job security was very low. As a result, there were questions in the minds of the workers, their fear being, if our employer has chosen 50 of us for the particular job, has my superior spoken something against me? "I'm also not allowed to bargain with my supervisor." "I also have fear if my supervisor observes me and if my output is unsatisfactory, that I'll be expelled." Some of these and many more fears existed in the minds of the workers then.

Having carried out these set of experiments, the following were the reasons that were concluded by the experimenters, why their hypotheses were proved incorrect, in each experiment:

1. Due to the anxiety and other emotions being high among workers in the first experiment, the first experiment on illumination failed.

2. Due to some amount of social group dynamics that was missing in the next experiment, the second experiment also failed.
3. Assembly line schedules are known to be very tight. Moreover, the work there is pretty monotonous. It does not have any room for creativity to be used. However, as human beings are social animals, they also need to have some amount of gossip to refresh their mind, some light moments, etc. in order to have higher work focus. As a result, the third set of experiments (interviews) also failed.
4. In the fourth set of experiments, it can be said that, even with the dream conditions in place, that human minds have got an excellent habit of adapting to the needs of the environment they are currently in. As a result, initially, the productivity observed was high. Later, the productivity fell.

Further, the human behaviour and aspects of human behaviour like more demands from work, feelings of fear, anxiety, group dynamics, etc. were all studied and understood. These set of experiments finally led to the human relations movement.

4.4 Distinction in mechanistic and organic organization structures:

A distinction on mechanistic and organic structures has been provided here:

Table 4.1: Organic structure vs. mechanistic structure

Mechanistic structures	Organic structures
In these organization structures, everything on production capabilities is known and standardized.	In these structures, the production capabilities are constantly changing.
The research and development going about in these structures is nil.	Research and developments keep occurring for throughout the life.
The input, throughput, output, everything is made according to a predetermined standard.	The input, throughputs, output and even the SOP keep continuously changing.
The goods and services from the industries having these structures can suit only one particular requirement (often fixed).	Products made in these industries are often made to suit various different needs.
There is no freedom in the culture of mechanistic organizations.	Ample freedom exists in the culture of organic organizations.
Example, tire industry.	Example, software industry.

5. MARKETING: TRADITIONAL 4Ps

This chapter deals with marketing which is the study and management of exchange relationships. It is the business process of identifying, anticipating and satisfying customers' needs and wants. Because marketing is used to attract customers, it is one of the primary components of business management and commerce. Marketing is the action or business of promoting and selling products or services, including market research and advertising.

Having defined what marketing is and its scope, now the traditional four Ps, i.e., the key categories involved in the marketing of a goods or service have been stated here. These 4Ps are:

1. Product
2. Price
3. Promotion
4. Place

These 4Ps are explained further:

5.1 Product:

- Product refers to the goods or services the company is offering to its customers.
- It encompasses the variety, design, packaging, quality, features and positioning of a product or service.
- Marketers need to have a clear concept of what their product stands for, what functions it serves, why their target audience needs it and what differentiates it from the competition.
- The type of product also partially dictates how much businesses can charge for it, where they should place it, and how they should promote it in the marketplace.
- The emphasis on “quality” product is continuously increasing, as consumers are becoming more knowledgeable about, and critical of, their purchases.

5.2 Price:

- The price of a product refers to how much a customer is willing to pay for the particular product or a service.
- Questions on other components of product cost, like delivery charges, discounts, refund/returns policy, etc. also determine the product cost to a sizable extent.
- Of course, price determination will impact profit margins, supply, demand and marketing strategy. If a product is mispriced, the brand could suffer serious losses; if the price of the goods is too low, the profits will be hampered. On the other hand, if the price is too high, customers will just buy elsewhere.

- Also, due to the information on product and its prices being available to the customers from the internet, price hike-related information can be figured out. As a result, any increase in prices needs to be well informed beforehand to the customers.

5.3 Promotion:

- Promotion looks at the many ways marketing agencies disseminate relevant product information to consumers and differentiate a particular product or service.
- Promotion of product includes the actions of advertising, public relations and promotional strategy.
- As a result of digitalization and the world wide web, promotion of products has been easy like never before.
- Each touch point in promotion must be supported by a well-positioned brand to truly maximize return on investment.

5.4 Place:

- Place refers to product accessibility to potential customers.
- In this P of marketing, the key factor is understanding a target audience, which will help a marketing specialist position the product in the channel that is most accessible to potential buyers.
- The birth of e-commerce has given this 'P' a whole new set of possibilities. Today's customers are likely to interact with the product brand across a range of platforms and spaces.

To summarize, for any organization, the marketing mix is defined by these six questions, which are:

- What do consumers want from your product or service?
- How does your product meet those needs?
- Where do potential buyers look for your particular product or service?
- How do you differentiate from your competitors?
- What is the perceived value of your product or service?
- What current interactions do you have with your potential clients?

6. PORTER'S 5 FORCES

6.1 Background:

Porter's 5 forces framework is a method for analyzing competition of a business. It draws from industrial organization economics to derive five forces that determine the competitive intensity and, therefore, the attractiveness of an industry in terms of its profitability. It is a simple but powerful tool for understanding the competitiveness of your business environment, and for identifying your strategy's potential profitability.

When we understand the forces in our environment or industry that can affect our profitability, we will be in a position to adjust our strategy accordingly, e.g., we could take an advantage of a strong position or improve a weaker one, and avoid taking wrong steps in the future.

6.2 The five forces:

The Porter's five forces are: Industrial/competitive rivalry, bargaining power of suppliers and buyers, and the threats due to new entrants and substitutes. These forces have been pictorially represented as:

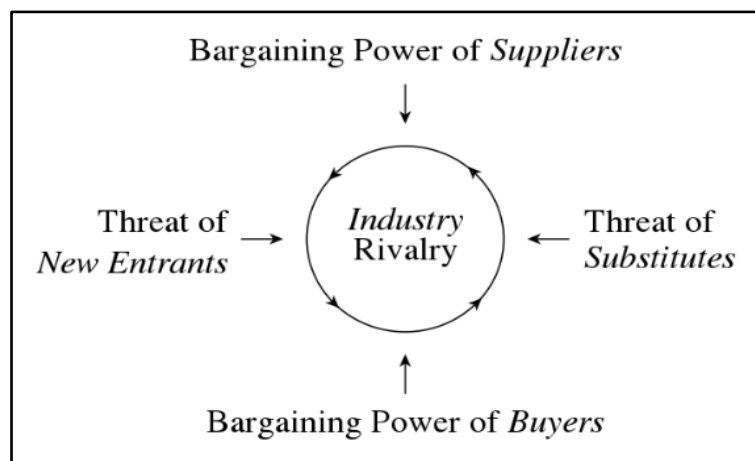


Figure 6.1: Porter's 5 forces

6.2.1 Industrial/competitive rivalry:

- This force on industrial rivalry refers to the number of competitors, their position in the business market in comparison with the organization of interest and the quality of products and services they provide in comparison with the organization.
- The larger the number of competitors and the more equivalent the type of services they provide, the organization shall prosper only if the product or services are being provided at a lower cost, without hampering the financial position of the organization.
- If the number of competitors is few, the price of the product can likewise be set on the higher end by the organization in order to obtain more profits.

6.2.2 Bargaining power of buyers:

- This refers to the ability that the customers have to drive prices lower.
- It is affected by how many buyers or customers a company has, how significant each customer is, and how much it would cost a company to find new customers or markets for its output.
- In case, if there are fewer number of buyers or customers, the customers have more power to negotiate for lower prices and better deals.
- On the other hand, if the product or service the organization has provided, has more customers, such organization can aim to increase profits by increasing the cost associated with the product or service.

6.2.3 Bargaining power of suppliers:

- This refers to the ability how easily the suppliers can increase the prices of the inputs provided to the organization.
- It is affected by how many potential suppliers we have; what uniqueness is provided by the product grades they provide and how much it will cost to switch from one supplier to the other.
- In case if there are fewer inputs required for the organization, the organization will have more reliance on those suppliers and thus, their ability to impact the organization's profits will be more.
- On the other hand, if there are more suppliers for the organization, it is easier to switch over from one supplier to the other.
- It is to be understood that, switching over to a new player requires a lot of research, and sometimes can lead to spending of more time and money to get input of a better quality.
- As a result, keeping all these in mind, the decision of switching over the suppliers will be affected.

6.2.4 Threat of new entrants:

- A company's power is affected by the force of the new entrants into its market.
- It depends on how much it costs for a competitor to enter a company's market and be an effective competitor.
- For markets that have relatively lesser entry barriers, in the form of lesser money and effort to enter the market and compete effectively, or in case of weak protection of key technologies of the company, the rivals can enter the market easily and weaken the company's position.

Porter's 5 forces

- A special example arises, when one of the suppliers of inputs for a company, if this entity aims to enter, as these entities know the regulations and barriers that exist for new entrants. In that case, company's profit margin can be affected significantly.
- However, if the barriers of entry are significantly strong and durable enough, then it is possible to assume a strong position in the market and take advantage of it.

6.2.5 Threat of substitutes:

- Substitute goods or services that can be used in place of a company's products or services pose a threat.
- Companies that produce goods or services for which there are no close substitutes will have more power to increase prices and lock in favorable terms.
- On the other hand, a substitution of product or service or a technology that is easy and cheap to make can weaken the position of the company and threaten profitability.

6.3 An example:

An example has been provided for a better understanding of the concepts developed in the previous sections.

Martin Johnson is deciding whether to switch career and become a farmer – he always loves the countryside, and he wants a job where he can be his own boss. He creates the following five forces analysis to help him to decide (These findings have been presented pictorially):

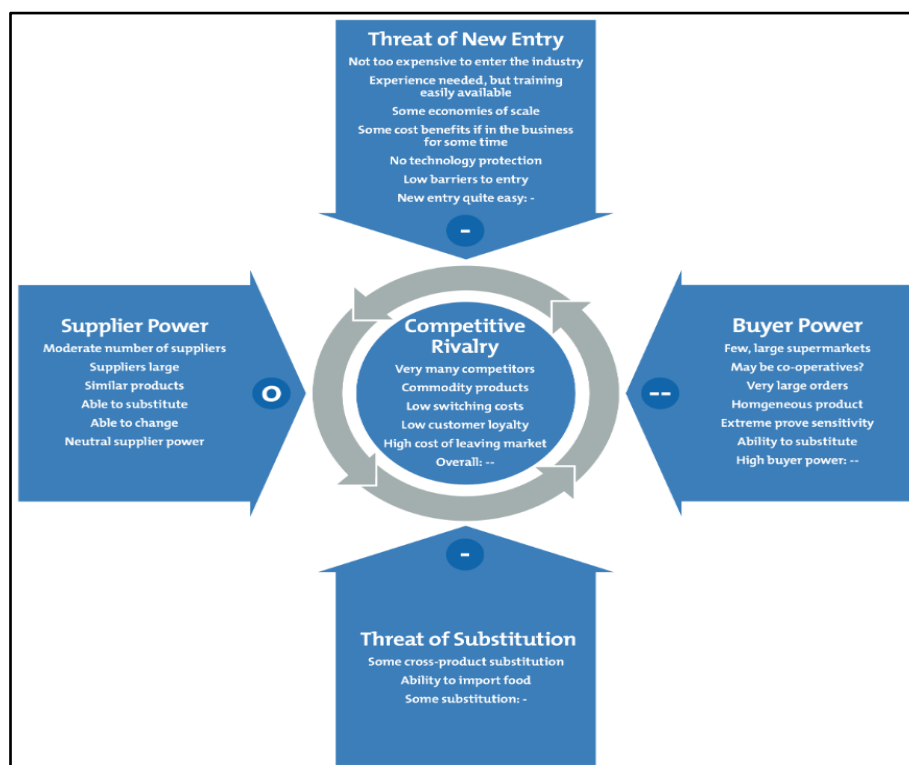


Figure 6.2: The five forces in the example

The findings of Martin in this case are:

Porter's 5 forces

- Threat of new entry: As it is not too easy to enter the industry and the technology protection in this industry is non-existent, with low barriers for entry, it is concluded that the threat of new entry is significant.
- Buyer power: The problems in this case are few, large supermarkets to sell his produce, there may be very large orders and also the ability of the customers to choose the substitutes to his produce is also significant. As a result, buyer power is a significant problem for him in this sector.
- Threat of substitutions: Substitutions in the form of cross-product substitutions or more ability to import food may exist, as a result, again, there is a likely threat of substitution, but this is not as problematic as is the problem of buyer power.
- Supplier power: There are a large number of suppliers of machines and fertilizers for farming, as a result, switching over can be considered by performing economic calculations. The supplier power, overall can be easily neutralized. Thus, supplier power is not a problem.
- Competitive rivalry: Due to the factors of many substitutes being available, low switching costs and low customer loyalty, all of which are against Martin's business profitability, competitive rivalry also poses problems for Martin.

The findings of this study suggest that unless Martin is able to find some way of changing this situation, this looks like a very tough industry to survive in. Maybe he'll need to specialize in a sector of the market that's protected from some of these forces, or find a related business that's in a stronger position.

7. MARKET TYPES

There are four types of markets: Consumer, business, global and non-profit. The type of market aimed at will decide the product, its pricing, scale of production, etc. The features of each of these have been elaborated in this chapter.

7.1 Consumer market:

- A consumer market is the very system that allows us to purchase products, goods, and services. These items can be used for personal use or shared with others.
- In these markets, the product is used by the end user.
- This market is competitive in nature, as there are multiple buyers of a product and there are also multiple sellers of a product, e.g. soaps market is a consumer market.
- Due to there being a number of sellers of a same product, there can be multiple substitutes to a product and as a result, the brands selling the product will have to clearly distinguish why the product is different from the others in terms of the use and other details.
- In these markets, a lot may be spent on delivery and communication.

7.2 Business market:

- These markets are different from the consumer markets, in the sense that they sell their product to a customer, which may be another business or organization, but not directly to the end consumer.
- It allows the individuals or organizations to sell products or services to other companies or organizations that resell them, use them in their products or services or use them to support their works.
- Some of the products in this category may fall under intermediates.
- Many business-to-business markets have some overlap with consumer markets, for example, a cleaning company may provide both residential and commercial services.
- Examples of products sold in this type of market are: office furniture, corporate accounting services and conference and exhibit supplies.

7.3 Global market:

- Global markets handle all sales and trading activities on the primary and secondary markets (rates, credit, foreign exchange, fixed-income, securitisation and treasury) for products designed for corporates, financial institutions and large issuers.
- Again, the products can be sold in various different countries, thus impacting the imports and exports of the companies handling this sale.
- When selling to different places, questions asked are of the following type:

Entities that can be marketed

- How do you enter a particular location?
- Culturally how well you fit in?
- Are there any political issues in marketing in other places?

7.4 Non-profit market:

- Non-profit marketing is carried out by non-profit organizations.
- It serves multiple functions in keeping the charitable organizations functioning. These functions are creation of awareness, promoting its own causes and services, raising funds, encouraging members and recur donations, engage volunteers and drive political and social change.

8. ENTITIES THAT CAN BE MARKETED

Almost all the entities today can be marketed. There are categories of goods and services which are marketed. These have been mentioned here. (Just for information)

- **Goods:** Physical goods like canned, bagged and frozen food products, cars, televisions, refrigerators, machines, etc.
- **Services:** Include the work of airlines, hotels, car rental, barbers and beauticians, lawyers and doctors.
- **Events:** Time-based events, such as trade shows, sporting like the Olympics and the World Cup.
- **Experiences:** A marketer can create, stage and market experiences, such as a week at a baseball camp, a Disney Land visit, visit to hill stations, etc.
- **Persons:** Artists, musicians, politicians, lawyers, celebrities like Oprah Winfrey, David Beckham, etc. can also be marketed.
- **Properties:** Real property or financial property.
- **Organizations:** Organizations aim to build a strong, favourable image for their target public.
- **Information:** Books, schools and universities can be marketed by various means.
- **Ideas:** All market offerings include a basic idea.

9. 13 HR LAWS

Discussed in this chapter are the 13 HR Laws that every HR manager should learn and useful resources.

9.1 Sexual Harassment (Prevention, Prohibition and Redressal) Act, 2013:

The sexual harassment of women at workplace act, 2013 is a legislative act in India that seeks to protect women from sexual harassment at the workplace. This act will ensure that women are protected against sexual harassment at all the work places, be it in public or private. This will contribute to realisation of their right to gender equality, life and liberty and equality in working conditions everywhere. The sense of security at the workplace will improve women's participation in work, resulting in their economic empowerment and inclusive growth.

9.2 The Factories Act, 1948:

Factories are often equated with labour issues and inspector raj. Be it for numerous compliances or for or any regulations related to working conditions, knowledge of this act is necessary for HR managers. More and more large companies, especially MNCs are now approaching consultants and training institutes that can train their HR managers about Factories Act compliances, though it is not per for course for SMEs and family businesses yet.

This act prescribes the basic rights and interests of the workers, and the guarantee to provide them with basic amenities like proper sanitation, ventilated work space, safety for using machinery etc. The maximum working hours are prescribed are not more than 48 hours in a week. Compliance with this act can act as a boon for this company as it can effectively avoid labour conflicts in the future.

9.3 The Employees Provident Fund Act, 1947:

This act is aimed at providing a kind of social security to the industry employees. If you have an employee which is working in your factory or in association with the work of your factory, he is entitled to become a member of this fund. The benefits like retirement pension, medical care, housing, family obligations, education and benefits arising out of insurance, rights of older employees, post retirement, are few aspects which are covered under this act.

9.4 The Apprentices Act, 1961:

An apprentice is a person who is learning from a skilled employer, having agreed to work for a fixed period of time. If your organization offers apprenticeship then you need to make the policies for them as per this act. The act allows you to take casual leave for 12 days, medical leave of 15 days and extraordinary leave of 10 days in a year.

9.5 The Maternity Benefit Act, 1961:

Maternity benefits act is perhaps the most known act in this list. This act is aimed at providing full benefits and protection to the mother and the child during the time of maternity in the form of paid maternity leaves.

If a pregnant woman has worked in your organization for a period of 80 days, she is entitled to maternity benefits under the act. The act also provides for provision of light work, up to a period of 10 weeks, after she resumes work.

9.6 The Workmen's Compensation Act, 1923:

Although, there are security departments in the factories which ensure that every individual is following the safety guidelines, however, as an HR it is your responsibility to ensure that the necessary tools and equipment are provided and complied with. You need to know that all of the regulations and guidelines are created in adherence to this act so that unnecessary future liabilities can be avoided.

It is an act aimed to provide financial protection to the workers or their dependants, in case of an injury or accident at the time of work. It provides for financial compensation in the case of any such accident. In case of non-compliance, the employer is liable for a criminal offence.

9.7 The Payment of Gratuity Act, 1972:

Gratuity is a part of salary, received by the employees from their employers as a token of gratitude for the services performed by them during their employment tenure. It is one of the many retirement benefits that they are entitled to.

An employee is entitled to gratuity if he/she has completed one year of service in an organization. The HR manager is required to know about this act, so that in case of an unfortunate death of an employee who has completed one year of continuous service in a company, or in case of retiring individuals, basic gratuity is awarded.

9.8 The Payment of Wages Act, 1936:

As an HR it is your responsibility to see that the due wages are credited to the workers on a monthly basis and without unnecessary deductions. This act is a guide to ensure that any such discrepancies can be avoided. This act provides standards for assessing the remuneration of the employees and ensures that the salaries are governed as per the industry standard. This is an act meant to give you and your employee an equal bargaining powers. It is a must know to avoid any future conflicts.

9.9 The Industrial Disputes Act, 1947:

Right from the cap on working hours to provision of conciliation between the company and its employees, this act has all of it covered.

With an aim to settle the employer-employee disputes amicably, it is a tool for peaceful resolution. It is utmost important for you to ensure that the employee is given at least a six weeks' notice before getting fired. Mostly the issues such as wages, holidays, working hours etc., or anything that can cause a dispute, which must be adhered to form a part of the act.

9.10 State Wise Factories and Establishments (National, Festival and other Holidays) Act, read with State wise Factories and Establishments (National, Festival and Other Holidays) Rules:

While deciding the leave policy, you are required to consciously comply to these rules. These rules decide the national and state leaves which are based upon the religious and cultural beliefs of a particular state. As an HR it is your responsibility to ensure that cultural sentiments of any employee are not hurt and their happiness quotient in your organization is on a constant high.

9.11 The Payment of Bonus Act, 1965:

As the name suggests, this act is aimed to provide bonus to the employees of certain industries and establishments. Every employee, irrespective of skilled or unskilled work is entitled to a bonus every accounting year if his salary is above 15,000 and he has worked for a minimum of 30 working days in a year.

9.12 The Employees State Insurance Act, 1948:

This statute acts as a self-financing security for every employee in India. The employer is required to contribute 4.75% of the 6.5% of insurance to all the employees who are earning 15,000 or less per month. This act provides health and medical benefits to all the employees and up to 6 dependents of the employees. In case of a tragedy, funeral, accident, medical contingency, injury, maternity and sickness, an employer is required to cover the expenses through an insurance as per this act.

9.13 Child Labour Regulations (CLR):

One of the most important regulation, the government is more proactive than ever to ensure that child labour is completely banned in India. However, the latest amendment in 2016 has relaxed the guidelines a little. The employment of children below the age of 14 in all occupations and processes is prohibited. However, there are now certain exceptions to the law. If you are working in the entertainment industry or a non-hazardous industry, children above the age of 14 years can work after the school hours and if all the amenities under the law are provided to them.

10. PORTER'S VALUE CHAIN

A value chain is a set of activities that an organization carries out to create value for its customers. This is done by the organization by delivering a valuable product or a service to the market. Porter proposed a general-purpose value chain that companies can use to examine all of their activities, and see how they're connected. The way in which value chain activities are performed determines costs and affects profits, so this tool can help organizations understand the sources of value for the organization.

Porter's value chain focuses on systems, and how inputs are changed into the outputs purchased by consumers. Using this viewpoint, Porter described a chain of activities common to all businesses, and he divided them into primary and support activities, as shown below.

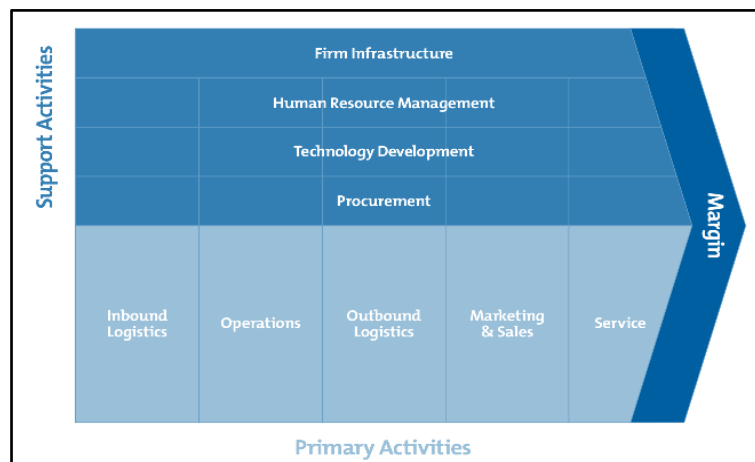


Figure 10.1: Porter's value chain

The primary activities are inbound and outbound logistics, operations, marketing and sales and service. The support activities are procurement, human resource management, technology development, and firm infrastructure. The support activities help support primary activities. The goal of all these activities is to create value that exceeds the cost of conducting that activity, thus, generating a higher profit.

10.1 Inbound logistics:

Inbound logistics involve relationships with suppliers and include all the activities required to receive, store, and disseminate inputs. The relationships of an organization with their suppliers are a key factor in creating value for the organization. For example, for an e-commerce company, inbound logistics would be the receiving and storing products from a manufacturer that it plans to sell.

10.2 Operations:

These are the transformation activities that change inputs into outputs that are sold to customers. Here, the operational systems create value. For the e-commerce company in the

previous example, this would include adding labels or branding or packaging several products as a bundle to add value to the product.

10.3 Outbound logistics:

All activities to distribute a final product to a consumer are considered outbound logistics. This includes delivery of the product but also includes storage and distribution systems and can be external or internal. For the e-commerce company above, this includes storing products for shipping and the actual shipping of said products.

10.4 Marketing and sales:

The marketing and sales apply push as well as pull strategy to increase the sales of the product. The company exists to make profits and if profits can be increased by marketing and sales, then the company has to use these tools. However, marketing needs to be done in the right manner to build brand equity and sales should be done in the proper channel without any false commitments given to customers to add value to the end product and the brand. Continuing with the above example, an e-commerce company may run ads on Instagram or build an email list for email marketing.

10.5 Service:

These are the activities related to maintaining the value of your product or service to your customers, once it's been purchased and enhance customer experience: customer service, maintenance, repair, refund, and exchange. For an e-commerce company, this could include repairs or replacements, or warranty.

10.6 Procurement:

Procurement is the acquisition of inputs or resources to the firm. This is how a company obtains raw materials; thus, it includes finding and negotiating prices with suppliers and vendors. This relates heavily to the inbound logistics primary activity, where an e-commerce company would look to procure materials or goods for resale.

10.7 Technology development:

Technological development is used during research and development and can include designing and developing manufacturing techniques and automating processes. This includes equipment, hardware, software, procedures, and technical knowledge. Overall, a business working to reduce technology costs, such as shifting from a hardware storage system to the cloud, is technological development.

10.8 Human resources management:

Hiring and retaining employees who will fulfill business strategy, as well as help design, market, and sell the product.

STP (Segmenting, targeting and positioning)

Overall, managing employees is useful for all primary activities, where employees and effective hiring are needed for marketing, logistics, and operations, among others.

10.9 Firm infrastructure:

Infrastructure covers a company's support systems and the functions that allow it to maintain operations. This includes all accounting, legal, and administrative functions. A solid infrastructure is necessary for all primary functions.

11. STP (SEGMENTING, TARGETING AND POSITIONING)

The STP model is a central concept in marketing that is absolute key to serving a market successfully. STP refers to three activities: segmenting, targeting and positioning. Marketers segment markets and identify attractive segments to target, before developing suitable positioning strategies and allocating resources to prioritise marketing activities. The use of the STP model has become more and more popular because of the increasing prevalence of mature markets, greater diversity in customer needs, and the ability to reach niche segments.

11.1 Compo:



Figure 11.1: The STP model

11.2 Segmenting:

The STP model starts with dividing up the market, which is called market segmentation. Market segmentation refers to the division of a mass market into identifiable and distinct groups (segments). Each of these segments has common characteristics and needs, and displays similar responses to marketing actions. Various segmentation criteria can be used to divide up the market, including demographic, geographic, psychographic and behavioural variables.

A tabulated form of segmentation is provided below:

Table 11.1: Segmentation (tabulated)

Main category	Segmentation base	Examples
Geographic	Country/continent	India/Asia

STP (Segmenting, targeting and positioning)

Demographic	Region/area of the country	North India, West India, South India
	City	Mumbai, Jaipur, Panaji, Ahmedabad
	Urban/rural	<i>Measured by the area's population density</i>
	Climate	Tropical and arid
	Coastal/inland	<i>Measured by the distance to the coast</i>
	Age group	
	Generation	
	Gender	
	Marital status	
	Family life cycle	
	Family size	
	Occupation	
	Education	
	Ethnic background	
	Religion	
Psychographic	Lifestyle	
	Values	
	Social class	
Benefits sought	Personality/self-concept	
	Activities, interests and opinions (AIO)	
	Needs/motivations	
Behavioural	Occasion	
	Buying stage	
	User status	
	Usage rate	
	Loyalty status	
	Brand knowledge	
	Shopping style	

By using more than one approach for segmentation, organizations can have a much stronger understanding of each of the segments.

Hybrid segmentation (which is also sometimes referred to as **multivariate segmentation**) refers to using multiple segmentation variables in the construction of market segments. E.g., using a demographic segmentation variable together with a psychographic segmentation variable in order to determine the market segment.

11.3 Targeting:

The second part of the STP model is targeting. This refers to determining which, if any, of the segments uncovered should be targeted and made the focus of a comprehensive marketing programme.

According to the popular “DAMP” approach to targeting, as defined by Philip Kotler (1984), for market segmentation to be effective, all segments must be:

- **Distinct:** Each segment must clearly differ from other segments, which makes different marketing mixes necessary.
- **Accessible:** Buyers must be able to be reached through appropriate promotional activities and distribution channels.
- **Measurable:** The segment must be easy to identify and measure.
- **Profitable:** The segment must be sufficiently large to provide a stream of constant future revenues and profits.

11.4 Positioning:

The last part of the STP model is positioning, which means to ensure that a brand occupies the right spot in the mind of target consumers. Positioning is the means by which goods and services can be differentiated from one another and thereby give consumers a reason to buy. It encompasses two key elements. The first concerns the physical attributes, functionality, and capability that a brand offers, such as a car’s engine specification and design. The second element concerns the way in which a brand is communicated and how consumers perceive the brand relative to competing brands in the marketplace.

INDUSTRIAL PSYCHOLOGY AND HUMAN RESOURCE MANAGEMENT
HUT1109

1. GREINER'S MODEL

1.1 What is Greiner's model?

Greiner's model is applicable for organizations throughout their life cycle (from birth to death). This is a growth model, which describes the various phases that organizations go through during their life cycle. A hypothetical Greiner's curve is shown below:

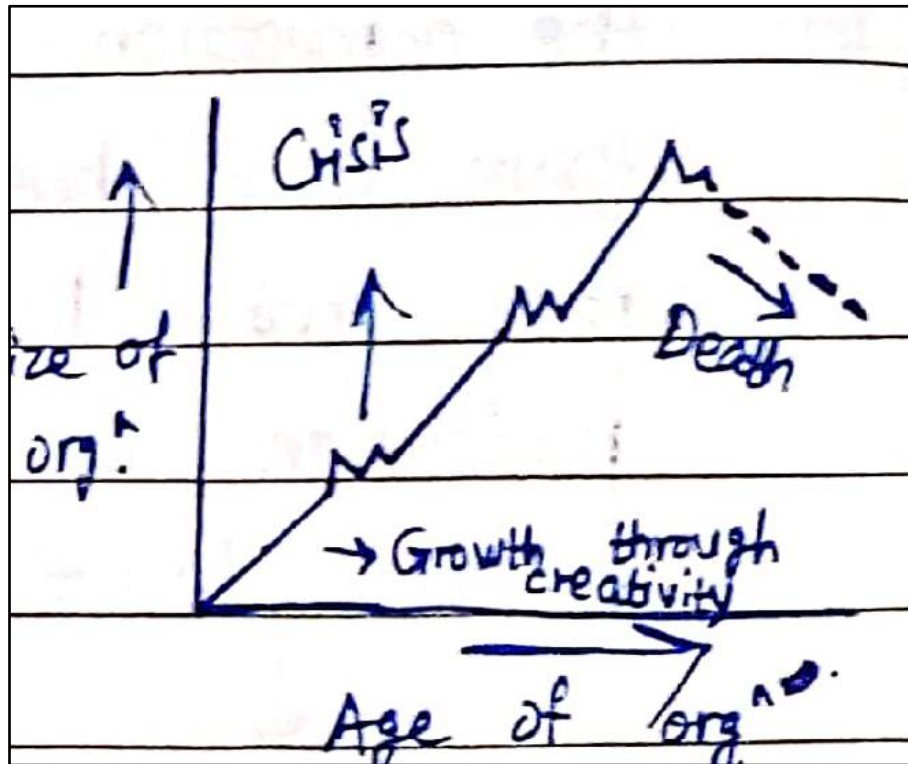


Figure 1.1: Greiner's curve

The Greiner's model suggests that there are 5 phases of organization growth. After completion of each stage, the company faces a crisis (shown as a kink on the graph of size of organization vs. age of organization) which can either make the organization grow in size and maturity of handling business, or the organization collapses. The five stages are as follows:

1.2 Stages in the Greiner's model:

1.2.1 Growth phase through creativity:

The evolution process of the organization starts from this stage itself. At this stage, the organization is busy in creating products for its customers, thus making profits. At this starting stage, the scale of production is quite small. Rules and regulations may not necessarily be followed. For larger scales of production, the problems start rising.

The crisis period for this stage is when there are financial problems to be addressed for large-scale production. This crisis may lead to either stagnation of the organization in terms of its performance and, in extreme cases, the organization may collapse. This crisis period is termed the **leadership crisis**, wherein, the entrepreneurs running the organization require

professional behaviour to increase the production scale, but, they do not want to give up any control over the production process.

1.2.2 Growth through direction:

After the leadership crisis is dealt with successfully, the organization enters the growth through direction phase, where, the organization is making use of professional teams that direct the organization to meet its production need with minimum wastage and maximum profits. Thus, a professional team is the one that guides the business at this stage. This stage features maximum optimization of the process, as, all the parameters necessary for optimized production can be looked into in a professional way. In the organization, a set structure of reporting is followed, which aids to organization profits.

As a result, the organization starts growing in size. A bigger customer base is now served by the organization. Also, demands from the market for the product may vary. Thus, production may suit various needs. As time passes, the competition increases. Creative people in the organization may aim to expand customer base, suggest new products and help to maximize products.

The higher-up authorities (management level) are also constantly keeping themselves abreast of the competition demands. However, a problem may arise when the higher-up authorities do not have the long-term vision necessary to guide the organization business, and, if there's a marked difference between the employees and authorities, organization faces a crisis. This is termed as **autonomy crisis**, where there is a crisis of decision making.

1.2.3 Growth through decentralized decision making:

After the autonomy crisis has been resolved successfully, the organization continues to grow and reaches the third phase, where the growth occurs through decentralized decision making, where not just the top authorities take key decisions on improving the business, but also, the employees are an active part of this. Here, the entrepreneur delegates important tasks to their middle management. Results are aimed for and the middle managers are responsible for achieving tactical and operational objectives. Management moves at a strategic level and rarely intervenes. A division structure is created with separate product groups and individual managers.

A problem associated with this phase of growth is more the divisional managers, the more difficult it will become for the management board to coordinate all the divisions that operate independently. There is a risk of a **management crisis**. There is a good chance that the divisional managers plot their own course too much as a consequence of which the company could break up.

1.2.4 Growth through coordination:

After the management crisis has also successfully solved, more emphasis is put on coordination between the various units. In large diversified organizations the various staff

departments take up a strong position from the headquarters from which the divisional managers are managed. As time goes on, the staff departments have too much power; and when there is too little scope for the divisional managers, a **red tape crisis** arises. The rules have made the company too inflexible and rigid.

1.2.5 Growth through collaboration:

Normally, very few organizations reach this stage, when the crisis of red tape gets resolved. Here, cooperation between line and staff departments is aimed at and this creates a break-up of the hierarchical coordination forms such as a matrix structure or a project organization. This phase is characterized by much mutual contact between employees via all kinds of consultation groups. There is little formalization and standardization.

The frequent consultations, however, constitute a pitfall, as a result of which a consultation crisis may arise. There is every chance that supervision and control decline sharply. This could mean the end for organizations, unless they develop through external alliances. Then, the organizations only require establishing good external contacts and alliances. These can be found in mergers, alliances and extensive networks. However, because an organization is more focused on alliances than its own core-business, there is a good chance that an identity crisis will present itself. The organization is taken over completely by other businesses and the *old* situation will disappear completely.

2. ORGANIZATIONAL STRUCTURES

An organization structure is a system that defines how certain activities are directed in order to achieve the goals of an organization. These activities can include rules, roles, and responsibilities. The organizational structure also determines how information flows between levels within the company.

Types of organization structures: The four types of structures are:

2.1 Bureaucratic structure:

Four types of common organizational structures are implemented in the real world. The first and most common is a functional structure. This is also referred to as a bureaucratic structure. It breaks up a company based on the specialization of its workforce. Most small-to-medium-sized businesses implement a functional structure. Dividing the firm into departments consisting of marketing, sales, and operations is the act of using a bureaucratic organizational structure.

2.2 Multidivisional structure:

The second type is common among large companies with many business units. Called the divisional or multidivisional structure, a company that uses this method structures its leadership team based on the products, projects, or subsidiaries they operate. A good example of this structure is Johnson & Johnson. With thousands of products and lines of business, the company structures itself so each business unit operates as its own company with its own president.

2.3 Flatarchy:

Flatarchy, a newer structure, is the third type and is used among many start-ups. As the name alludes, it flattens the hierarchy and chain of command and gives its employees a lot of autonomy. Companies that use this type of structure have a high speed of implementation.

2.4 Matrix structure:

The fourth and final organizational structure is a matrix structure. It is also the most confusing and the least used. This structure matrixes employees across different superiors, divisions, or departments. An employee working for a matrixed company, for example, may have duties in both sales and customer service.

3. ROLE THEORY

Role making and role taking in role theory:

Role theory in recruiting process refers to the process of **role taking** and **role making** by *an employee about their job*. In case of role taking, the employee performs the role just as the organization expects him/her to perform, with no major inputs from their side. In other words, they just take it (the job) the way it has been given to them by the organization. Here, the organization decide what role has to be performed, how it's supposed to be performed, and so on.

On the other hand, in role making, the employee will want to make their role more interesting, so they may seek to enhance their motivation in doing that job. Example, Prof. A V Patwardhan teaches subjects like Chemical Engineering Operations, Separation Processes, Chemical Reaction Engineering, etc. Each of these subjects have some challenging problems that might require students to use tools like software or program codes to execute them and solve the problems. So, if Prof. A. V. Patwardhan would follow role taking as his outlook towards his job, then, he'd just teach the students the main crux behind all the main topics involved in each of the subjects. That much is sufficient for him.

On the other hand, if he were to have the intention, that the students should also grasp all the concepts, find them interesting, their learning should enhance, he'd definitely ask for the Class Representative to ask the respective Professor who conducts these software or programming lectures, to please allow a session, where these are also taught. Then, Prof. A. V. Patwardhan is using role making as an outlook towards his job.

These concepts of role taking and role making will be used by the employers to assess the performance of the employees and to provide them bonus or some sort of performance appraisal. As a result, an employee who **makes** his/her position work as own work, they might perform better, in which case, they might stand as potential candidates for faster promotions or performance appraisals.

4. RECRUITMENT AND SELECTION

Recruitment and selection are important activities for an organization to hire employees for providing work. In any organization, when there are people who **retire** from their job or **leave** their job, a vacancy is created. In such cases, the organizations look to fill in that role vacancy by, either looking to get the vacancy filled by **the employees from within the organization**, or, if that role cannot be filled by anyone from within the organization, as in the case of **graduate engineers for training purpose after their graduation**, after which they become full-time employees, hiring from external sources. The basis for recruiting from outside and awarding promotions to the people within the organization will be described a little later.

The hiring process most probably takes place through **advertisements, via internet**, etc. In case of *colleges seeking help for recruitment of graduates or post grads from companies*, the mode of application is via the email, where the particular college placement coordinators draft a mail to the respective companies, stating: “We, as in the placement cell of (Name of college), wish to ask your organization to recruit eligible candidates as full-time employees in your organization.”

Recruitment refers to the overall process of attracting, shortlisting, selecting and appointing candidates for jobs within the organization. In recruitment, many people apply as possible candidates for the job. So, recruitment is viewed in a positive fashion that it encourages more applications for a vacant post. On the other hand, selection process is viewed in a negative fashion, in the way that it selects only the few best possible candidates for the job and rejects the rest.

4.1 Basis for recruitments from outside vs. promotions for employees inside:

Entry level jobs, like graduate engineer trainees, are filled from external sources, as has been mentioned earlier. Most organizations use a mixture of internal and external sources—promoting from within when qualified employees are available and recruiting from external sources when new skills are needed or growth is rapid. Each type of source has its advantages and disadvantages.

4.1.1 Advantages of internal recruiting:

- Filling of post by a person within the organization. So, the employer knows the suitability of that candidate for another position.
- Internal recruiting motivates employees to perform at their best.
- Training and socialization times are reduced, because the current employee already knows about the culture of the organization.

Recruitment and selection

- Skilled and ambitious employees are less likely to quit and get involved in developmental activities, if they believe they'll get promoted sooner.
- Less expensive internal recruiting, as in case of external recruiting, time and money is spent on training and socializing the candidate.
- Filling as many posts from within maximizes job security for employees.

4.1.2 Drawbacks of internal recruiting:

- In case of a rapidly expanding organization, there may be an inadequate supply of qualified individuals above the entry level.
- Vacancies that are filled internally lead to vacancies that will exist within the organization down the line. This simultaneous filling of a vacant post and creation of new vacancies is what is known as the ripple effect.
- Some organizations' internal recruitment procedures are too cumbersome. There is a huge time lag for the application for the post by the employee and the time at which he/she is finally appointed for the job.
- Internal recruitment leads to inbreeding. This might be suitable for organizations with a mechanistic structure, or, in case, if the organization wants to continue with the merits of the existing culture, but, not at all suitable for organizations with an organic structure.
- In case of diversity requirements within a particular organization, this recruitment practice is not useful.

4.1.3 Advantages of external recruiting:

- Avoids inbreeding and confusions created by the ripple effect.
- Induces diversity in the organization, by bringing in new ideas and view-points within an organization.
- Particularly suitable for organic structure organizations, where structures never stay the same. The production processes are always updated.
- Meeting affirmative action goals and cope with the demands of rapid growth without overusing inexperienced personnel.
- Saves training costs for the organization, as hiring experienced workers from other companies may cut down on the need for a comprehensive training and development program in-house.

4.1.4 Drawbacks of external recruiting:

- External recruiting is expensive. Because the external labour market is much larger and harder to reach than the internal labour market, recruitment usually takes longer and costs more.

- A risk that the candidate doesn't live up to the potential displayed during the selection process is higher.
- Discouraging for employees within the organization, as it reduces their chances for promotions.

4.2 Philosophies of recruiting:

The philosophies of recruiting are general guidelines representing two different views, with no one view being the absolute best and can be used in all situations. As a result, recruitment takes place based on the mindset of the organization, what it prioritizes on, its long-term vision vs. short term emergency situations and so on.

4.2.1 Internal vs. external recruiting: Refer section 4.1.

4.2.2 Filling vacancies vs. hiring for long term:

For any organization, if it wants to prosper and make profits at a larger scale as well as more consistently, it will wish to recruit people with a specific skillset necessary to fill the talent pool it had employed. In that case, the organization will hire for long-term, as there can always be a situation, where the time to wait for getting the right candidate is being compensated by the performance of the company.

As against this, a short-term hiring policy aims at filling vacancies early, and is more suitable in case if the external labour is to be recruited, as it is expensive.

4.2.3 Depth of commitment vs. hiring a diverse range of employees:

There are advantages and drawbacks associated with both, a depth in commitment, as it doesn't encourage diversity in thought process, however, it inculcates consistent sticking to long-term vision of the organization. On the other hand, diversity inculcates more creative ways to approach a problem at hand, however, a greater diversity also implies more time to be spent to socialize the employees, also, if labour from external sources are hired, then there's a chance employees within the organization get demotivated.

4.2.4 Applicants as commodities to be purchased vs. customers to be wooed:

The organizations that have a marketing orientation for recruiting will wait for significant time to get employees with the right skill set, and these look on applicants as commodities to be purchased, the idea of which is to have a constant eye on the long-term vision of the organization. On the other hand, if recruitment be viewed in a sales orientation, filling of vacancies instantly is the need of the hour, and the applicants are looked as customers to be wooed.

4.3 Recruiting agencies

Recruiting agencies serve employers in an organization by researching for open roles in the organization, identifying qualified people, screening the candidates and providing support to the employer during selection of the new hire. Different companies work with recruiting agencies for fulfilling different needs.

The recruiting agencies work by firstly forming a database of all the applicants for the job in the organization. Of these applications, a select few are shortlisted for further rounds and finally, few might end up signing the contractual agreement. Recruiting agencies are good for selecting people who actively seek job jumps, as a result, they can demand a wider skillset.

4.4 Headhunters:

Headhunters are special employment agencies employers retain to seek out top-management talent for their clients. They work for variety of companies under a variety of roles. The percentage of your firm's positions filled by these services might be small. However, these jobs include key executive and technical positions. As a result, the skillset demands made by headhunters are very specific.

5. GIG ECONOMY

In a gig economy, temporary, flexible jobs are commonplace and companies tend toward hiring independent contractors and freelancers instead of full-time employees. A gig economy undermines the traditional economy of full-time workers who rarely change positions and instead focus on a lifetime career.

An in-depth study of 65 gig workers conducted in 2018 by Harvard Business Review (HBR) is mentioned here, which states what it takes to be successful in independent work. They found remarkably similar sentiments across generations and occupations: All those they studied acknowledged that they felt a host of personal, social, and economic anxieties without the cover and support of a traditional employer—but they also claimed that their independence was a choice and that they would not give up the benefits that came with it. Although they worried about unpredictable schedules and finances, they also felt they had mustered more courage and were leading richer lives than their corporate counterparts.

The gig workers cultivate four types of connection to help them endure the emotional ups and downs of their work and gain energy and inspiration from their freedom. These are place, routines, purpose and people. These are described ahead.

5.1 Produce or perish:

The stakes of independent work are very high, both on financial as well as existential grounds. However, people can choose assignments that make the most of their talents and reflect their true interests. They feel ownership over what they produce and over their entire

professional lives. One study participant told them that they can be the most they've ever been themselves in any job.

However, the essential point of worry is that people still worry about money and reputation and sometimes feel that their identity is at stake. Many spend a great deal of their time developing a "holding environment": a physical, social, and psychological space for their work.

5.2 Types of connections:

5.2.1 Place:

Disconnected from a corporate office, the people (gig workers) found places to work that protect them from outside distractions and pressures and help them avoid feeling rootless. Though many claimed their work was portable, they all still seemed to have somewhere to retreat. These retreat spaces are used for all substantive work. They allow easy access to the tools of the owner's trade and to little else. And they're dedicated to work; people usually leave them once their daily tasks are done.

5.2.2 Routines:

In organizations, routines are often associated with safety or boring bureaucracy. However, elite athletes, scientific geniuses, popular artists, and even everyday workers use routines to enhance focus and performance. The same holds true also for gig workers.

Some of the routines used by the gig workers improve their workflow: keeping a schedule, following a to-do list, beginning the day with the most challenging work or with a client call, leaving a sentence incomplete in an unfinished manuscript to make an easy start the next day, or sweeping the studio floor while reflecting on a new piece. Other routines, usually involving sleep, meditation, nutrition, or exercise, incorporate personal care into people's working lives. Both kinds often have a ritual element that enhances people's sense of order and control in uncertain circumstances.

5.2.3 Purpose:

For many gig workers involved in the HBR study, striking out on their own initially involved doing whatever work would allow them to find a footing in the market. But they were adamant that succeeding means taking only work that clearly connects to a broader purpose. Examples, empowering of women through films, expose harmful marketing practices, helping corporate leaders succeed with integrity, etc. Purpose creates a bridge between their personal interests and motivations and a need in the world.

The conclusion of this study was that, purpose, like the other connections, both binds and frees people by orienting and elevating their work.

5.2.4 People

Humans are social creatures, and as a result, look into other people as sources for motivation at work. Researchers at HBR have also warned about a “loneliness epidemic” hitting the workplace, for which independent workers can certainly be at even greater risk. However, the gig workers who were interviewed reported awareness of the dangers of social isolation and strived to avoid it.

5.3 Redefining success (by the gig workers):

In popular management tales, career success usually comes with security and equanimity. For independent workers, however, both are ultimately elusive. And yet most of those we studied told us they feel successful.

The conclusion put up by the HBR is that people in the gig economy, or gig workers, must pursue a different kind of success: one that comes from finding a balance between predictability and possibility, between viability (the promise of continued work) and vitality (feeling present, authentic, and alive in one’s work).

6. MOTIVATION

Motivation is based on organizational and personal domain. Motivation forms a basis for behaviour of an individual. Motivation is a process, where a psychological or physiological **deficiency** or **need** that activates a **behaviour** or **drive** that is aimed at a **goal** or **objective**. The definitions of need, drive and goal are as follows:

1. **Need:** Needs are created when there is a physiological or psychological imbalance or deficiency. For example, a need exists when the cells in the body are deprived of food and water or when the person is deprived of other people who serve as his/her companions or friends.
2. **Drive:** Drives are set up to alleviate the needs. Another definition for drive is that drive is a deficiency with a definite direction.
3. **Goal:** A goal or an objective is defined as the means used by a particular drive to satisfy the need.

A hypothetical example to clarify this concept is: Mr. Rohan Khandelwal is a health-conscious person. He starts doing exercise daily in the gymnasium in his locality and in order to aid the growth of his muscles, he should add protein-rich food to his diet. So, in this example, the protein-rich food in the diet is his need. The drive in this case is that he can satisfy this need by incorporating more pulses or foodstuffs like paneer, eggs, fish, etc. in his diet. The goal that he can set for himself, is that, as sources like chicken, meat, eggs carry more meat, that he’ll include daily two meals of chicken/eggs/meat in his diet. (P. S.: I don’t know much about what people going to gyms to exercise have in their diet, but, this is just put as an example.)

6.1 Classification of drives:

A drive is set up to reduce the need. The way in which the need is met (or reduced) can be differing from individual to individual. For basic physiological requirements like hunger and thirst, the drive that is set up is actually a consequence of evolutionary basis for humans. So, this is learnt by the child right at its birth, and needs no further learning, as this is a basic need for survival. Such drives that satisfy basic needs for survival are classified as primary drives.

However, not all drives will be physiological in nature. Some needs may be higher in nature. Like for example, a job package in chemical industry will require Mr. Avinash Nayak to have a particular skill-set, which needs to be learnt and mastered thoroughly for a smooth performance in the industry. These needs are met only by the drives that are taught, not just in college, but also in the real life. For example, a game of chess teaches you to focus mainly on the safety of your king and threatening the safety of your opponent's king as the primary goal. (Again, there are various techniques to do this, which needs to be learnt by, say solving many puzzles, playing multiple number of online games and/or tournaments whenever feasible, revision of concepts like development, piece play, pawn structure, etc., elaborating which is not the scope of this material.) Thus, these drives are inculcated in an individual by deep learning. These drives are secondary drives.

There are three types of needs that secondary drives will help in fulfilling:

6.1.1 Need for power:

Need for power is characterized by:

- Influencing people to change their attitudes/behaviour.
- Controlling people and activities.
- Being in a position of authority over others.
- Gaining control over information and resources.
- Defeating an opponent or enemy.

6.1.2 Need for achievement:

Need for achievement is characterized by:

- Doing better than (fellow) competitors.
- Attaining or surpassing a difficult goal.
- Solving a complex problem.
- Carrying out a challenging assignment successfully.
- Optimizing a process by doing it in a better way.

6.1.3 Need for affiliation:

Need for affiliation is characterized by:

- Being liked by many people.
- Being accepted as a part of a group or a team.
- Working with people who are friendly and co-operative.
- Maintaining harmonious relationships and avoiding conflicts.
- Participating in pleasant social activities.

6.1.4 General drives:

These drives act as a gradient between primary and secondary drives, and may also be unlearned in nature. No further elaboration on this topic has been provided here.

6.2 Motivation theories:

In this section, seven theories on motivation have been discussed. These are the Maslow's hierarchy of needs, Herzberg's two-factor theory, Adam's equity theory, Alderfer's existential-relatedness-growth theory (three-factor theory), Nitin Nohria's four-drive theory, V. I. E. theory and Hackman-Oldham model. Each of these theories will be discussed in detail in this section.

6.2.1 Maslow's hierarchy of needs:

Maslow's need hierarchy is an application-oriented theory in marketing. This hierarchy was prepared by looking at the people in general, and it was concluded that people have a *hierarchy of needs*, and the most important needs are at the *apex* of the hierarchy. It also states that the higher order needs can be fulfilled, only when the lower order, basic needs have been fulfilled. The Maslow's need hierarchy has been pictorially presented below:

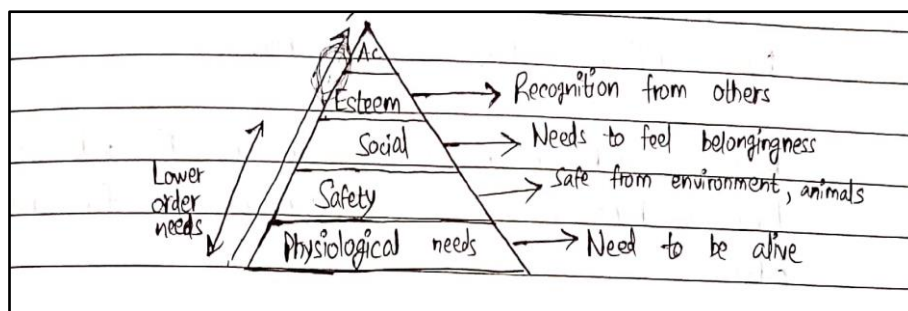


Figure 6.1: Maslow's need hierarchy

The physiological needs in an organization are met by an appropriate payroll for the job. In an organization, the safety needs are met by an appointment letter, insurance and a secure job. The social needs are met by working in right teams, right subordinates and on the right projects. Of course, these are subjective in nature. The esteem needs are fulfilled by enhanced job titles, higher difficulty level projects, sabbaticals (in case of professors in a college), foreign trips and paid vacations. Finally, if the organization allows me the freedom to do what Avinash

Nayak really wants to pursue in his career, then the organization fulfils his self-actualization need. For example, Technip FMC allows him to be a joint director with Reliance.

At the workplace, my behaviour is being observed by my superiors. They basically look at what drives do I possess while on the field. Based on which, I can be promoted up the organization ladder. Also, during interviews organized, they check for what needs am I wanting to get the job in that organization.

Also, *advertisements of various products* are prepared majorly based on Maslow's need hierarchy. By looking at that particular advertisement, it is easily understood what need the product shown in the advertisement wants to satisfy.

6.2.2 Herzberg's two-factor theory:

Herzberg's two-factor theory studied a group of 1,25,000 people at random and asked the following questions:

- What is it that boosts your spirit on the job?

Answer: All about the job per se. Basically, the content of the job, like higher payroll, challenging projects, proper use of the skillsets I have.

- What is it that turns you off on the job?

Answer: Context of the job. Basically, if my superiors do not listen to my needs, or even if I'm a part of the team, I feel apart from the team, based on my skillsets, etc.

Every individual in an organization has a particular KASH, i.e., knowledge, abilities, skills and habits. If this KASH is the right fit for the job, then the individual stays motivated while on the job. There are two types of factors present in the workplace, according to Herzberg's two-factor theory, motivators and hygiene factors.

The motivating factors are those factors that boost the spirit of Avinash Nayak while on the job, making him more enthusiastic about the job, and in some extreme cases, really stuck with his job identity. Examples are, challenging projects, high job titles, foreign trips, autonomy on job, etc.

The hygiene factors are those factors that, though they do not demotivate Avinash Nayak while on the job, but, they bring down his motivation to zero. Examples are, peers, supervisors, pay (at higher levels).

6.2.3 Adam's equity theory:

Adam's equity theory is based on the perception of how an employee is being treated in an organization. In the corporate world, every individual has their own inputs to the organization business (individual KASH) and the output given by the organization is in terms of pay, perks, facilities, freedom to pursue what you really want to pursue, etc.

Motivation

An individual takes clues from the environment based on his perception towards work, perception towards (fellow) employees, perception about his superiors, etc. This forms a basis for the motivation of the person at work. If the individual finds, by comparison, that despite his inputs, organization is giving him/her less output in the form of either pay, perks, facilities, or allowances like maternal leave, or a freedom to work also as a visiting faculty for some other institute, etc., that individual feels demotivated.

The individual compares the ratio of Output ($O_{Ind.}$) to input ($I_{Ind.}$) in the individual's case to that of the other employees ($O_{Oth.}/I_{Oth.}$). If $\frac{O_{Ind.}}{I_{Ind.}} < \frac{O_{Oth.}}{I_{Oth.}}$, then the individual feels demotivated and is said to be treated inequity under-rewarded. In that case, the individual builds a picture, slowly, that the organization is behaving unfairly towards that individual. The ratio on the individual's side can be manipulated by either increasing the numerator (This is done by the organization, as in terms of more facilities, more freedom, etc.); or, by decreasing the denominator (Done by the individual).

On the other hand, the employees who see that the individual is getting less than what they expected believe that they are being treated inequity over-rewarded.

However, for any organization, when they start knowing that the employees are starting to feel less motivated, they try to fill this gap in expectations by honest recruitment, better training, more performance appraisals and retention of their employees.

6.2.4 Alderfer's three-factor (ERG) theory:

Alderfer's three-factor theory, or existential-relatedness-growth theory talks about the job as per the motivation in the job and the needs of the individual. It states, that every need can be classified as an *existential need*, a *relatedness need* and a *growth need*. Each of these needs are coexisting. It is based on both the Maslow's need hierarchy and Herzberg's two-factor theory. The figure below pictorially depicts how ERG is simultaneously related to the two theories.

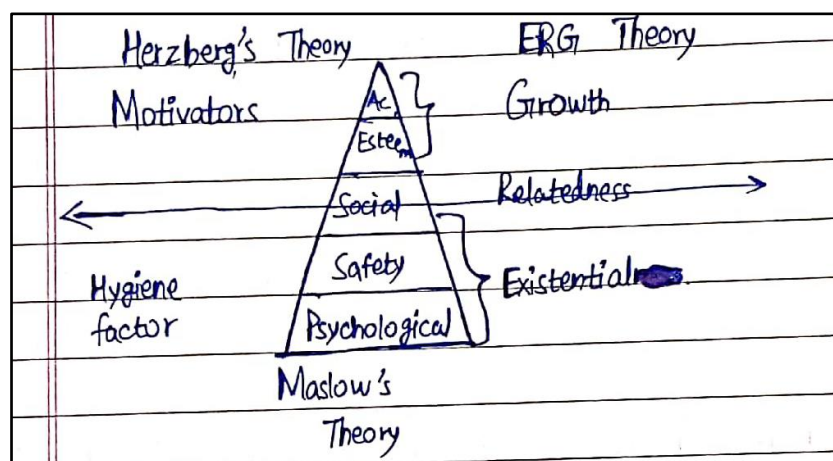


Figure 6.2: ERG theory

6.2.5 Nitin Nohria's four-drive theory:

Four-drive theory of motivation was put forth by Nitin Nohria. This theory states that there are four drives that the organizations should leverage, so that the employee feels that the organization is providing the employee appropriate drives so that his/her needs are fulfilled. The four drives are as follows:

6.2.5.1 Drive to acquire:

The drive to acquire tends to be relative (we always compare what we have with what others possess) and insatiable (we always want more). In an organization, the drive to acquire is leveraged by the organization by providing chances for the employees to achieve significant progress in their career, by providing good projects. The organization aims to conduct regular performance appraisals in order to motivate the employees to perform their best. Also, a higher pay may be given if the performance is that great.

6.2.5.2 Drive to bond:

Individuals have survived in groups since long, as a major survival need. In the organization, the employee's drive to bond accounts for the enormous boost in motivation when employees feel proud of belonging to the organization and for their loss of morale when the institution betrays them. The organization should develop a culture, wherein, mutual reliance and friendship among co-workers, sharing of best industry practices and teamwork and collaboration are viewed as more valuable. Thus, the organization leverages the drive to bond.

6.2.5.3 Drive to comprehend:

Employees are motivated by jobs that challenge them and enable them to grow and learn, and they are demoralized by those that seem to be monotonous or to lead to a dead end. The organization can leverage this drive by designing jobs that have distinct and important roles in an organization. Also, by designing jobs that are meaningful and can foster a sense of contribution to the organization, this drive is leveraged.

6.2.5.4 Drive to defend:

The drive to defend tells us a lot about people's resistance to change. It's one reason employees can be devastated by the prospect of a merger or acquisition, an especially significant change, even if the deal represents the only hope for an organization's survival. The organization leverages this drive by:

- Increasing the transparency of all the processes.
- Emphasize on the fairness of all the processes.

- Build trust by being just and transparent in granting rewards, assignments and other forms of recognition.

6.2.6 V. I. E. theory:

The V. I. E. theory is short for valence, instrumental and efforts. It states that motivation is a product of three variables, V, I and E. It also states that whatever efforts, E is put by you in the organization is instrumental, I in giving you the rewards that are of positive valence, V for you. Of course, the valence V can be chosen by the perception of the individual towards the organization.

6.2.7 Hackman-Oldham model:

Hackman-Oldham model for motivation treats the task itself to be a motivating factor for the employee. It states that, there are specific factors in the job itself, that innately motivate the employee or they don't motivate the employee. Then, the motivation of the employee is a function of job characteristics, psychological states and outcomes for the employee. The following table gives the list of **core job characteristics**, which, if present, lead to **critical psychological states** and these psychological stages, when experienced, lead to **outcomes**. These outcomes lead to motivation.

Table 6.1: Motivation table for individuals

Core job characteristics	Psychological states explained	Outcomes
Skill variety	Experiences meaningfulness of work	High internal work motivation
Task identity		
Task significance		
Autonomy	Experiences responsibilities for work outcomes	High quality performance
Feedback from job completion	Knowing the actual results of work activities	High satisfaction with work

The terminologies mentioned in the table have been explained here:

1. **Skill variety** refers to the number of skills that can be used during work by the employee. If a job demands use of too many skills, there may need to be many switchovers for various skills. So, this might be demotivating. On the other hand, if too low number of skillsets are necessary, the job might become mundane. Even that becomes demotivating.

2. **Task identity** refers to the fact, that the person who does the job holds the complete responsibility for the job. On the other hand, **task significance** refers to the feeling within the employee that the task he/she does has definite positives, and that it also has positive visible impact on the organization.
3. **Autonomy** is whether the individual is granted freedom or statutory powers in his job to decide how well should that be done. **Feedback from job completion** is given by performance appraisals.

Thus, motivation can be mathematically stated according to this theory as:

$$\text{Motivation} = \frac{(\text{Skill variety} + \text{Task identity} + \text{Task significance})}{3} \times \text{Autonomy} \times \text{Feedback} \dots\dots (1)$$

7. CHANGE THEORIES

The dictionary meaning of change as a noun is: ‘making or becoming different, difference from previous state, substitution of one for another, variation’ etc. Change is also a verb meaning: ‘to undergo, show or subject to change, to make or become different’. We are experiencing changes in all spheres of our lives: food, drinks, clothing, relationships, ambitions, living standard, work, tools, techniques. The changes are occurring so fast that people say ‘in this rapidly changing world change is the only constant’.

There are numerous visible and invisible forces , which are constantly affecting changes in organizations, a few of them may be enumerated as follows:

Technology: Tools, techniques, instruments, methods, procedures.

Work force: Knowledge, skills, ambitions, expectations, needs.

Economy: Liberalization, globalization, privatization, breaking the barriers-resources imbalance.

Competition: Mergers, acquisitions, entry of new organizations, new products, lowering prices, better services.

Social trends: Nuclear families, working couples, late marriages, one child norm.

Political: Warning ideologies, new equations, transitory relationships, coalition governments, single superpower.

Financial: New types of finances and financial institutions.

All changes are not similar in nature. Some changes keep happening on their own and some are planned. More on planned changes ahead.

7.1 Types of changes:

When people are not willing or/and not prepared for facing the change, change comes gradually as a natural process, in **small adjustments or shifts** in response to emerging problems: this type of change has been called **Evolution**. Evolutionary changes occur very slowly. A

change agent (A **change agent** is a person from inside or outside the organization who helps an organization transform itself by focusing on such matters as organizational effectiveness, improvement, and development.... usually focuses on altering and influencing communications, attitudes, mental models and interactions in organizations) helps the organization, often person by person, understand the change. People comment and the approach is built collaboratively. People have to buy in to the change. Senior leadership still needs to be on board, but they are less the driver of the change and more a coach or cheerleader.

When people reach a state of readiness to resolve conflicts by applying force on others to **comply through coercion or suppression, revolution takes place**. That type of change—a high-pressure mandate from above. Senior leadership says we must do this. Discussion may be tolerated or allowed, but the improvement will take place. It could be a day, a week, or a month, but the change will occur. The change occurs because “the boss says so.”

7.2 Pure strategies of change:

Olmosk has presented a comprehensive view of a number of change strategies and called them ‘Seven pure strategies of change’. Each of these strategies have been briefly summarised and explained.

7.2.1 The fellowship strategy:

The assumption underlying this strategy seems to be, “If we have good, warm interpersonal relations, all other problems will be minor.” Emphasis is placed on getting to know one another and on developing friendships. Groups that use this model often sponsor discussions, dinners, card parties, and other social events that bring people together. The fellowship strategy places strong emphasis on treating everyone equally; this often is interpreted as treating everyone the same way. All people must be accepted; no one is turned away. When the group is making decisions, all members are allowed to speak, and all opinions are weighed equally. No fact, feeling, opinion, or theory is considered inherently superior to any other. Arguments are few, because conflict generally is suppressed and avoided.

7.2.2 The political strategy:

Political Strategists tend to believe that “If all the really influential people agree that something should be done, it will be done.” They emphasise a power structure that usually includes not only formally recognised leaders but informal, unofficial leaders as well. Much of the work done under the political strategy is the result of the leaders’ informal relationships. The political strategy emphasises the identification and influence of people who seem most able to make and implement decisions. It usually focuses on those who are respected and have the largest constituency in a given area. One’s level of influence is based on one’s perceived

power and ability to work with other influential people to reach goals that are valued by one's constituency.

7.2.3 The economic strategy:

Economic strategists believe that "Money can buy anything or any change we want." They emphasise the acquisition of or — at the very least, influence over — all forms of material goods, such as money, land, stocks, bonds, and any other tradable commodity. This strategy is widely used in the United States and the Western world and is used most often by large corporations and by the very rich. Inclusion in a group that espouses this approach usually is based on possession or control of marketable resources. Influence within the group is based on perceived wealth. Most decisions are heavily, if not completely, influenced by questions of profitability as measured by an increase in tangible assets. This approach is highly rational, based on the assumption that all people act more or less rationally from economic motives. As a result, such groups often have high needs for control and for rationality.

7.2.4 The academic strategy:

The academic strategy assumes that "People are rational. If one presents enough facts to people, they will change." To this end, academic strategists undertake an unending series of studies and produce thousands of pages of reports each year. Inclusion in a group that plans to use the academic strategy to solve problems or to make changes is based primarily on one's expertise in a given area or on one's desire to acquire such knowledge. Leadership and influence within the group generally depends on the degree to which the person is perceived as an expert. Newcomers to the field are considered to have little to contribute, while those with advanced degrees or many years of specialized study receive a great deal of attention.

The Engineering Strategy Users of this strategy try to bring about behavioural change without dealing directly with the people involved. The underlying assumption is, "If the environment or the surroundings change enough, people will be forced to change." Therefore, engineering strategists may spend a great deal of time studying physical layouts, patterns of interaction, and role descriptions in work places and classrooms without ever speaking to the employees or students. Groups that approach change in this way often recruit members based on their technical skills. Group needs often are defined in terms of technical skills, which are considered more important than interpersonal styles.

7.2.5 The military strategy:

The military-style approach to change is based on the use of physical force. The name military has been given to this approach because it conveys the appropriate connotation to most people, not because the military is the sole user of this approach. Police Departments,

“revolutionary” student groups, and some teachers, for example, employ the military strategy. The basic assumption behind this approach is, “People react to genuine threats. With enough physical force, people can be made to do anything.” Therefore, considerable time is spent in learning to use weapons and to fight. Physical conditioning, strength, and agility are valued. Membership in military-strategy groups often is determined by one’s physical power and by one’s willingness to submit to discipline. Both within the group and in its dealings with the external environment, influence is exerted primarily through the fear of authority and through the threat of punishment. Members of military-style groups need control, status, and security. They often tend to view most problems and relationships in terms of power, authority, threat and exploitation.

7.2.6 The confrontational strategy:

The confrontational approach to change is based on the assumption that if one can mobilise enough anger in enough people and force them to look at a problem, the required changes will follow. Although conflict is stressed, this strategy emphasizes nonviolent conflict rather than physical force. Membership in such a group is based on one’s ability to deal with and to use conflict in ways that benefit the group.

7.3 A food-for-thought question:

What are the various reasons why people resist to change?

Ans.: This is an opinion/your corner type question. Before beginning to answer the question, it is to be understood that different people have different styles and strategies of dealing with change, or sometimes, some may try to follow more than one strategies. As a result, different people are expected to have different opinions on this. A sample opinion has been presented here.

People resist to change, and here’s the reason. Ancient man used to live in jungles, where there was always an uncertainty of being attacked by wild animals. As a result, humans in those days had to be conditioned to live in uncertainty. For long, were the humans living as such, and the conditions kept becoming better rather slowly and gradually, so the habit of adapting to the gradual changes in the surroundings came into being. If the conditions became better much faster, then humans would not be exercising control over their lives. As a result, changes had to take place slowly. However, when a change is forced upon people, people, due to being better conditioned to live gradual changes in lifestyles, they may not be able to adapt to those sudden changes and as a result, may not be willing to accept change. There may be other reasons like expectations, etc., which have not been considered here.

8. BASES OF POWER

The most common description of power is French and Raven (1960). This divides power into five different forms. Raven (1965) added informational power, and Raven (2008) summarized the subsequent canon of work in this subject. Social influence is defined as “*change in the belief, attitude, or behaviour of a person (the target of influence), which results from the action of another person (an influencing agent)*”, and social power as the potential for such influence.

The six forms of power are:

8.1 Coercive power:

This is the power to force someone to do something against their will. It is often physical although other threats may be used. It is the power of dictators, despots and bullies. Coercion can result in physical harm, although its principal goal is compliance. Demonstrations of harm are often used to illustrate what will happen if compliance is not gained.

Coercion is also the ultimate power of all governments. Although it is often seen as negative, it is also used to keep the peace. Parents coerce young children who know no better. A person holds back their friend who is about to step out in front of a car. *A manager has coercive power in terms of unpleasant projects, transfers, withholding of information, stopping promotions etc....*

Other forms of power can also be used in coercive ways, such as when a reward or expertise is withheld or referent power is used to threaten social exclusion.

8.2 Reward power:

One of the main reasons we work is for the money we need to conduct our lives. There are many more forms of reward: in fact, anything we find desirable can be a reward, from a million dollar yacht to a pat on the back. Reward power is thus the ability to give other people what they want, and hence ask them to do things for you in exchange. *Example: good projects, pay hikes, promotions, exciting transfers, challenging assignments etc.*

Rewards can also be used to punish, such as when they are withheld. The promise is essentially the same: do this and you will get that.

8.3 Legitimate power:

Legitimate power is that which is invested in a role. Kings, policemen and managers all have legitimate power. The legitimacy may come from a higher power, often one with coercive power. Legitimate power can often thus be the acceptable face of raw power. A common trap that people in such roles can fall into is to forget that people are obeying the position, not them. When they either fall from power or move onto other things, it can be a puzzling surprise that

people who used to fawn at your feet no long do so. History has seen many such emperors like Dhritarashtra, Aurangzeb, Kansa, etc. Today's politicians are another such example.

8.4 Referent power:

This is the power from another person liking you. It is the power of charisma and fame and is wielded by all celebrities (by definition) as well as more local social leaders. In wanting to be like these people, we stand near them, hoping some of the charisma will rub off onto us. Those with referent power can also use it for coercion. One of the things we fear most is social exclusion, and all it takes is a word from a social leader for us to be shunned by others in the group.

8.5 Expert power:

When I have knowledge and skill that someone else requires, then I have expert power. This is a very common form of power and is the basis for a very large proportion of human collaboration, including most companies where the principle of specialization allows large and complex enterprises to be undertaken. Expert power is that which is used by trade unions when they encourage their members to strike for better pay or working conditions. It is also the power of the specialist R&D Engineer when they threaten to leave unless they get an exorbitant pay rise or a seat by the window.

8.6 Informational power:

Raven (1965) added a sixth source: informational power. This is providing information to a person that results in them thinking/acting in a different way.

Information by itself may not be enough for this and may hence be supported by an argument as to why the information should be believed. If the information is accepted then 'socially independent change' occurs as the person continues to believe this information to be true and acts accordingly.

9. CONFLICT, CONFLICT MANAGEMENT STYLES AND PEARL'S MODEL

9.1 What is a conflict?

Put in simple words, conflicts are nothing, but differences in opinions leading to an argument between two or more parties. It is also caused by disagreement in two or more parties that perceive incompatible concerns. If we speak about a class, majorly, this is how it happens: Students are doing something in a class other than paying attention during lectures. The teacher gets some clues about their not paying attention. When these clues are more prominent, or if more of this thing is being perceived, due to interaction with colleagues and mention of the same, in that case, an opinion is formed.

Conflicts require two main things to occur sequentially: First, a person **senses** (either by hearing/seeing/feeling) that something wrong is going somewhere. Based on what the person senses, an opinion is formed (i.e., the situation is **perceived**) and this opinion is compared with the objectives we have in hand while carrying out our work. If the formed opinion hinders our objectives, a conflict situation arises.

9.2 Stages of a conflict:

There are five stages to a conflict, and these form a basis for conflict management style. The five stages have been explained briefly below.

- 1) **Latent:** Latent sources of conflict represent potential sources of conflict, when, in truth, there's no real conflict scene lurking anywhere around. Often it can be something like role change, people not behaving the expected way, etc. These are the primary grounds on which further misunderstandings may develop, leading to conflict.
- 2) **Perceived:** Once the sensual clues are interpreted by the person concerned, opinions are formed based on the objectives the person has while carrying out their work. Again, there's no conflict scene actually lurking nearby, till, this opinion is strengthened by emotionally going through the trouble and acting on this opinion.
- 3) **Felt:** From this stage onwards, things can start going wrong. After an opinion has been formed, the person who formed the opinion, depending on their tolerance limits, grab hold of the opinion, behave in the direction their opinion guides. Often, this leads to development of negative emotions, as a result, the person may be committing more than what they expect of themselves. Often, this is done in a threatening way.
- 4) **Manifested:** This is the real scene of conflict, where, sometimes, things can go really very wrong (for both parties). The negative opinions/emotions are acted upon in a threatening way to get rid of even the minutest disturbances, which may lead to more problems, as a result, conflict may escalate further.

- 5) Outcomes of conflict:** After the conflict situation is done, the outcomes are realized. These may be either dysfunctional for one group, but, totally functional for the other (win/lose), or win/win or lose/lose outcomes. In this stage, appropriate action can be taken on the party perceived as the aggressors.

Class Activity: The Nohari window: Among a set of weaknesses provided in a sheet, make a list of your own weaknesses. Compare your set of weaknesses with the weaknesses your partner infers about you. Comment on it.

Solution: This was a class activity, and has already been done in class. The details of this won't be mentioned here. The purpose to mention this is, that this technique helps us understand our relationship with ourselves and others. There are four quarters of this window. They are the open (both us and our peers know of each other's weaknesses), blind (only our peers know of our weaknesses), hidden (we know of our peer's weaknesses, but not the concerned person) and unknown (both us and our peers don't know this as a weakness).

Keeping the open quarter of the window as big as possible is expected for a good relationship between ourselves and others. However, the drawback is that, at times, we may have to sacrifice a part of our comforts for serving the relationship with others. A more elaborate explanation has not been provided here, as it is not the scope of this material. Interested readers may refer to various sources.

9.3 Conflict tree:

Conflict tree describes the sources of conflict as personal, between groups and within an organization. A conflict tree has been prepared below.

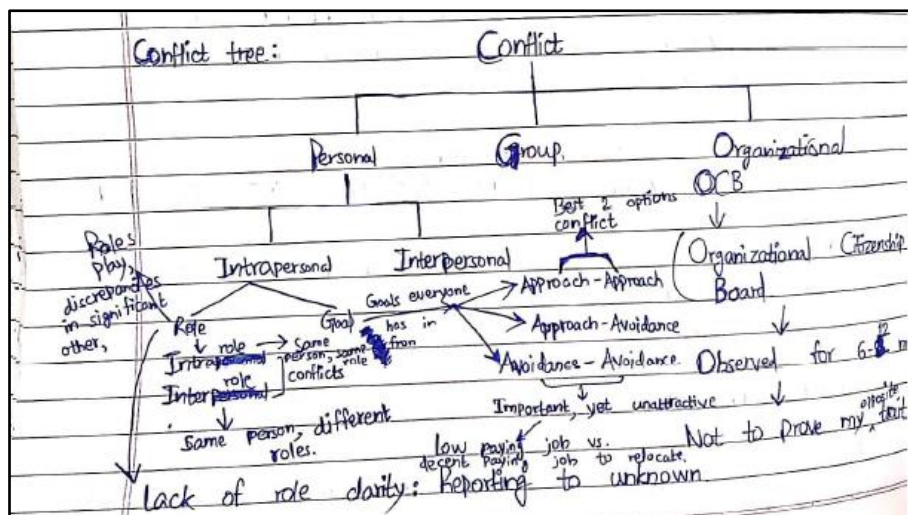


Figure 9.1: Conflict tree

A better explanation on all the branches in this conflict tree has been provided pictorially in figures 9.2 and 9.3.

Conflict, conflict management styles and Pearl's model

DATE 24/2/2020

Out of the role: Internal tensions / Internal conflicts more.

Zeal to prove all-good: Go out of your way to network, make friends, etc.

OCB $\Rightarrow$ Think में लिख क्या है?

अगर मेरा role में बताया है, और अगर में जारा किया yet I got promoted as my colleagues और फिर में help नहीं किया, मुझे unhelpful कहा जाएगा।

IG level $\Rightarrow$ Attendance in lectures a must/optional?

RI - Reports to HOD / Dean Acad.

Highly ethical person $\Rightarrow$ Bribing to get a customer.

Interpersonal conflicts: Role conflicts, role ambiguity, role overload.

Unknown of duty expectations framework.

RI $\Rightarrow$ One boy $\Rightarrow$ Lecturer (MBA) (22 yrs.)

Corporate roles challenging
Fresher can't explain flows.

Students unresponsive
Steps on to another person's role
Role conflict.

Role ambiguity:
Job crafting $\Rightarrow$ I feel I'm overskilled for my role, so I'm going to create expertise than what's expected.

Nurses in hospital ~~are~~ more experienced than doctor.

Ambiguity in roles $\Rightarrow$ Doctor won't allow nurse to work.

DATE 24/2/2020

Overload $\Rightarrow$ Role में एक और role एक और role डाल दे। CR in the class $\rightarrow$ Significant others (A/P Sir, saying "Why should CR look after the other people not submitting assignments, and ask for their submissions?")

Group Conflicts: B/w departments / groups.

Occurring due to:

- Resources $\rightarrow$ Fighting for time, people, funds
- Power $\rightarrow$ Specialization $\Rightarrow$ Higher level $\Rightarrow$ Higher conflicts.
- Interdependency $\rightarrow$ More the interdependency, worse the conflicts
- Goals $\rightarrow$ Different departments having different goals.
 $\rightarrow$ Typically b/w Prodⁿ, Marketing or H/R.
Bulk material, Inventory Carrying Cost, the more the ICC, lesser the.

Situations with a power vacancy $\Rightarrow$ Group people having different minds

Sequential dependency

Prodⁿ $\Rightarrow$ Vacancies always to be fulfilled.

H/R $\Rightarrow$ Women candidates needed.

Figures 9.2 and 9.3: Explanation of the branches in the conflict tree

9.4 Thomas-Kilmann conflict resolution model:

Thomas-Kilmann conflict resolution model is a model which is developed to measure how in any situation will the conflict be managed. There are two axes in this model. On the horizontal (X-axis), is the concern for others. It represents the cooperative behaviour of the individual. On the vertical (Y-axis), is the concern for self. It represents the assertive behaviour of the individual. In this model, there are five types of conflict resolution styles. They are avoiding (AVD), accommodating (ACC), collaborating (COL), competing/forcing (FRC) and compromising (CMP). The model is diagrammatically represented below:

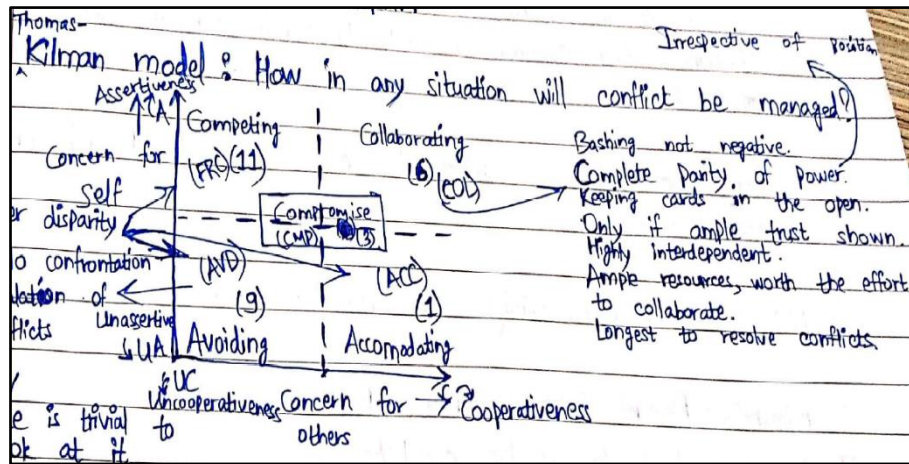


Figure 9.4: Thomas-Kilmann model

The five styles are stated as follows:

Avoidance: This style is unassertive and uncooperative, and is seen as the withdrawal from or refusal to address a conflict.

Accommodating: This style is unassertive, but cooperative. In this style, one party submits by acknowledging and accepting the issue of the other party.

Collaborating: This style is assertive and cooperative. This style consists of thoughtful consideration of each party's views including discussion of goals, resulting in a mutual understanding.

Competing: This style is assertive, but uncooperative. Here, one party shows the unwillingness to negotiate with the other's opinions.

Compromising: This style is moderately assertive and cooperative. It gives neither party everything they desire, but both parties receive enough to leave enough satisfied.

A questionnaire was circulated for checking what style of conflict management the individual prefers. Based on the responses that I provided for the questions in the questionnaire, it is concluded that I have a competing style.

9.5 The principle of Pearls:

According to Suchman, every workplace conversation operates on two levels: a task channel and a relationship channel. Occasionally the two get fused, which is when disagreements intensify and collaborations break down.

Suppose Ron and Suchman are working together on a project. Along the way, they have a difference of opinion about their next steps. Perhaps, Suchman thinks that they should use PowerPoint to deliver an important presentation, and Ron sees PowerPoint as a poor communication tool. When Suchman expresses a point of view that's different from Ron's, Suchman may take the disagreement at face value by saying, "Hmm, I guess Ron sees it differently." But if they're new to working together, or if they've had a few run-ins in the past, one of them is likely to read beyond the other's suggestion, using it to draw inferences about their relationship. For instance, they may misinterpret the other's suggestion as a lack of trust, a sign of disrespect, or even proof of competition. It's at this point, Suchman argues, that the task-focused disagreement becomes contaminated with concerns about their relationship. And when that happens, things escalate. Fast.

All of this is because of the activation of a fear response. In the evolutionary past, having an automatic reaction to fear was quite useful then, as it helped to protect them from the predators and survive long enough to reproduce. But, this is not the case today. An involuntary fear response can interfere with our ability to work collaboratively with others.

To defuse an emotionally volatile situation like this, Suchman believes the first step is to disentangle the task and relational channels. "When people disagree, it's often because one party misinterprets the feedback they've received as a personal attack," he says. "So, it becomes: 'If you like my idea, you like me,' and 'If you don't like my idea, you don't like me.' That puts a huge encumbrance on the task channel and makes it really hard to speak openly." Our mental capacity is limited, which means that we can attend to either the task channel or the relationship channel. One approach to reducing tensions during disagreements, Suchman says, involves deliberately attending to the relational channel and reaffirming your commitment to the relationship.

Suchman recommends using a specific series of relationship-building statements to make the conversation more productive, which are represented in the acronym PEARLS. The key points in the acronym PEARLS are bulleted:

1) Partnership:

- "I really want to work on this with you."
- "I bet we can figure this out together."

2) Empathy:

- “I can feel your enthusiasm as you talk.”
- “I can hear your concern.”

3) Acknowledgement:

- “You clearly have put a lot of work in this.”
- “You invested in this, and it shows.”

4) Respect:

- “I’ve always appreciated your creativity.”
- “There’s no doubt you know a lot about this.”

5) Legitimation:

- “This would be hard for anyone.”
- “Who wouldn’t be worried about something like this?”

6) Support:

- “I’d like to help you with this.”
- “I want to see you succeed.”

Suchman states this is how the PEARLS model will work:

Using relationship-building statements can feel unnatural at first, especially when you’re not accustomed to complimenting others. I know they did for me when I first started using them in workplace conversations. The key, I’ve discovered, is to employ them sparingly at first and to only say the ones that genuinely reflect how you feel.

Almost immediately, you’ll notice that inserting a well-timed PEARLS statement can dramatically alter the tenor of a conversation. Because no matter how far up we climb on an organizational ladder, we are still stuck using an emotionally-driven brain. When fear enters the equation, it’s impossible to get people to do their best work, which is why restoring confidence in the relationship can be a powerful tool.

The value of relationship-building statements extends far beyond the workplace. They’re as effective with spouses, children, and friends as they are with colleagues. The reason is simple: anytime you attend to people’s psychological need for connection, you have the potential to improve the quality of an exchange. The more heated the argument, the more vital the statements become.